

The background of the slide is a low-angle, upward-looking photograph of a modern glass skyscraper. The building's facade is composed of a grid of dark metal frames and large glass panels that reflect the sky. The perspective creates strong diagonal lines that converge towards the top of the frame. The sky is a clear, pale blue. In the top left corner, the word "Moody's" is written in a dark blue, serif font.

Moody's

4Q & Full Year 2018 Investor Presentation

February 28, 2019

Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for the Company's business and operations that involve a number of risks and uncertainties. The forward-looking statements and other information in this release are made as of the date hereof (except where noted otherwise), and the Company undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s planned withdrawal from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank") and regulations resulting from Dodd-Frank; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate such acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2018, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

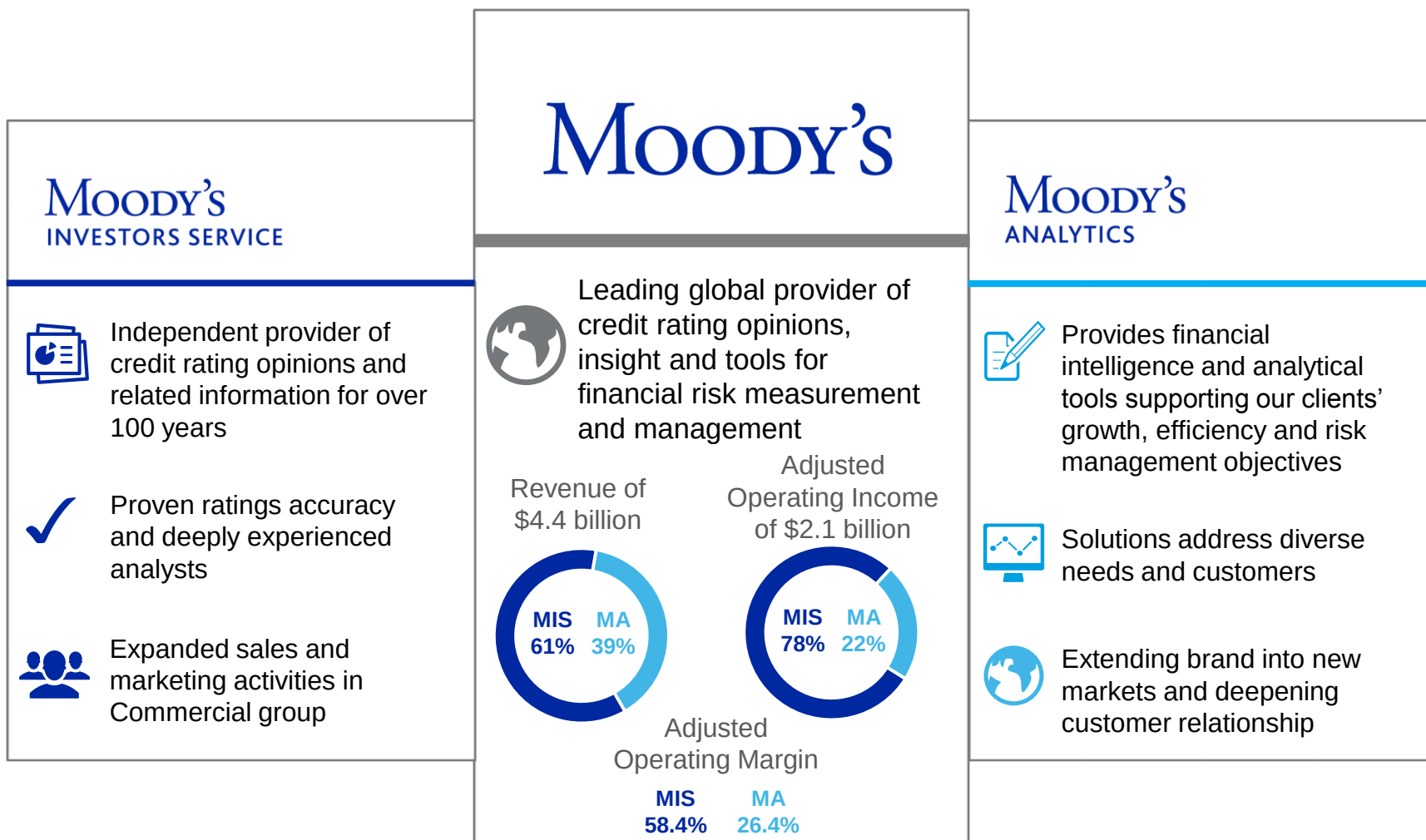
Table of Contents

1. Moody's Overview
2. Financial Overview
3. Capital Markets Overview
4. Moody's Investors Service (MIS)
5. Moody's Analytics (MA)
6. Appendix

1

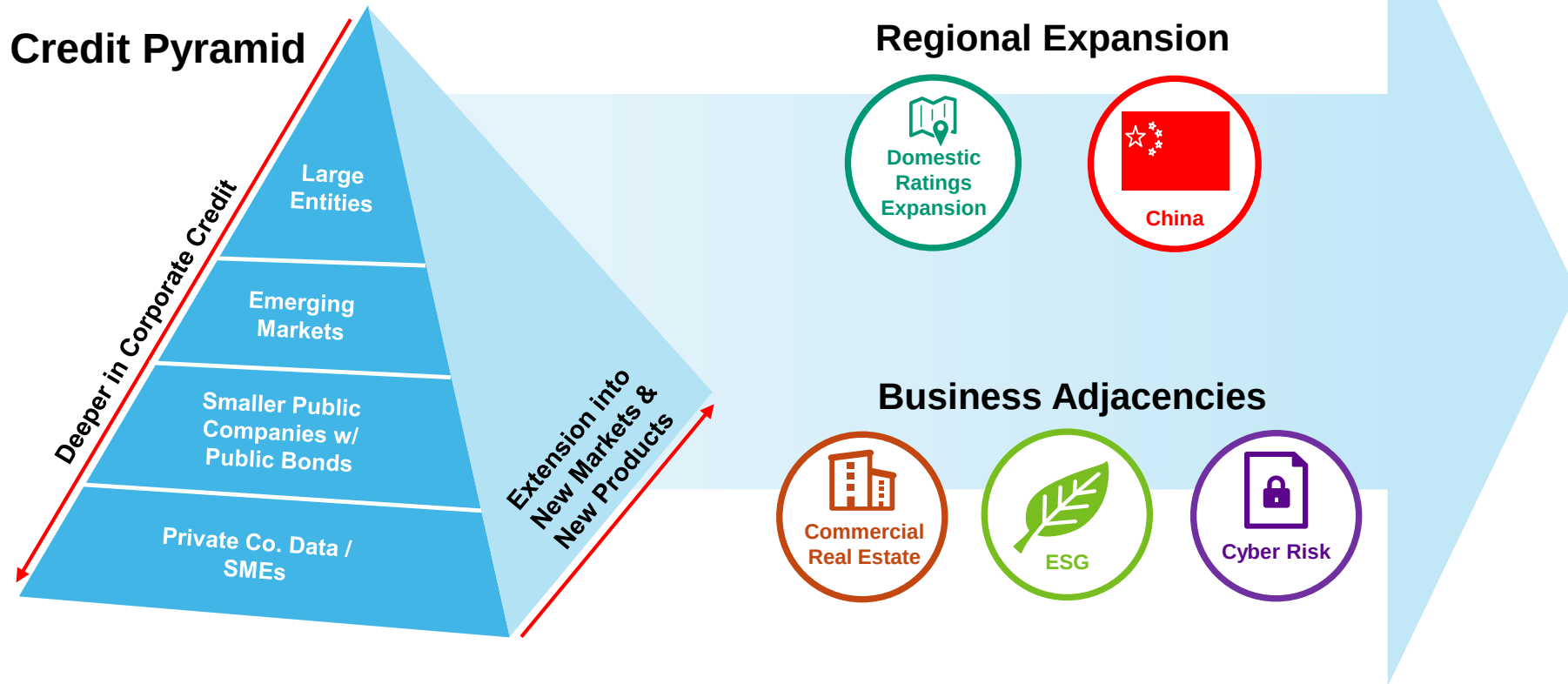
Moody's Overview

Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



Note: Financial data for the trailing twelve months ended December 31, 2018.

Moody's Strategic Priorities



-  **Enhance technology infrastructure** to enable automation, innovation and efficiency
-  Foster employee engagement and creative solutions through our **diverse workforce and inclusive environment**

Why Invest in Moody's?



**We strive to be the world's
most respected authority
serving risk-sensitive
financial markets**



**We have had strong
revenue and earnings
growth, as well as cash
flow conversion**



**We are committed to
returning capital to
our shareholders**



**We will selectively
invest in strategic
growth opportunities**

Globally and locally acknowledged for award-winning tools to measure and manage risk.

Moody's Investors Service



Market Leadership Award, Islamic Finance Intelligence & Ratings: 2016–2018
Best Islamic Finance Rating Agency: 2015



Multi-award winner including best rating agency categories: 2015–2018



Best Islamic Rating Agency: 2015, 2017



#1 US Rating Agency: 1997–2017



Best Credit Rating Agency Mexico: 2018



Multi-award winner: 2016–2017
Green Rating Agency of the Year: 2017



Best CLO Rating Agency: 2016–2017



Most Influential Credit Rating Agency: 2013–2016*



#1 US Credit Rating Agency: 2012–2018



Australian Rating Agency of the Year: 2014–2017



Best Rating Agency: 2017



#1 Asia Credit Rating Agency: 2012–2016*

Moody's Analytics



Ranked 19th in the Overall Top 100 Rankings



CECL Technology Category Leader



Best ESG Solution
Best Solvency II Solution



Ranked 5 out of 100
Credit Risk Category Winner
Enterprise Stress Testing Solution Category Winner



#1 IFRS 9
#1 Asset and Liability Management
#1 Regulatory Capital Calculation and Management
#1 Economic Capital Calculation and Management



Balance Sheet Management Technology Category Leader



Best Solvency II Tech Solutions Category Winner



Winner, 2012
Expectations category (2- and 3-Year Horizon)



Best Credit Risk Solution Provider – RiskCalc™



Compliance Risk Technology Implementation of the Year and Credit Risk Technology Implementation of the Year



Technology Vendor of the Year



Credit Data Provider of the Year
Wholesale Credit Modeling Software of the Year
Credit Stress Testing Product of the Year



CLO Data Provider of the Year



Stress Testing Product of the Year Category Winner
Economic Scenario Generation Product of the Year Category Winner
Solvency II Product of the Year Category Winner
Regulatory Reporting Product of the Year Category Winner



Credit Risk Technology Category Leader



Innovation in Customer Service - Financial Services Industries



Best Buy-Side Market Surveillance Tool Category Winner – Structured Finance Portal

* discontinued in 2017

2

Financial Overview

Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth



EPS

Low Teens % Growth Range^{1, 2}

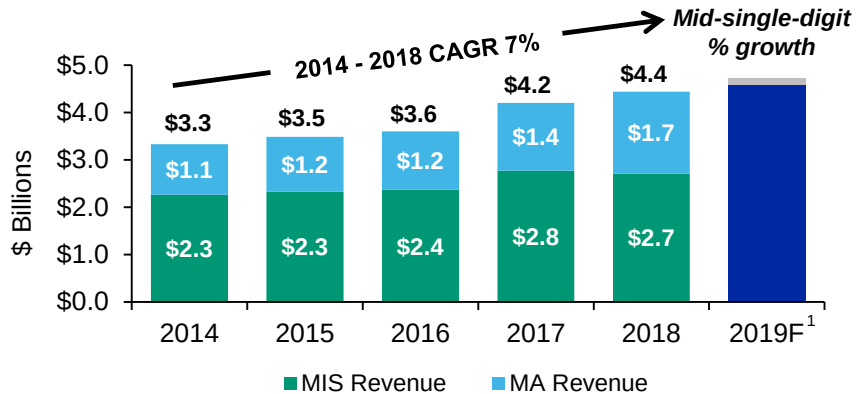
Note: Long-term growth opportunities presented on this slide are on average over time.

1. Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

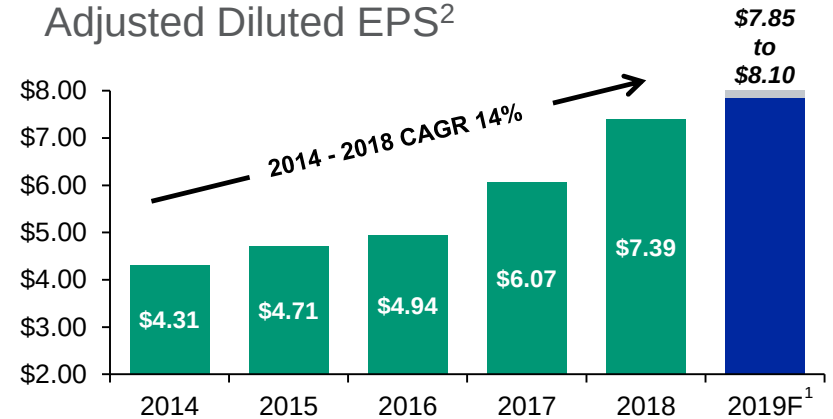
2. Subject to market conditions and other ongoing capital allocation decisions.

Financial Performance

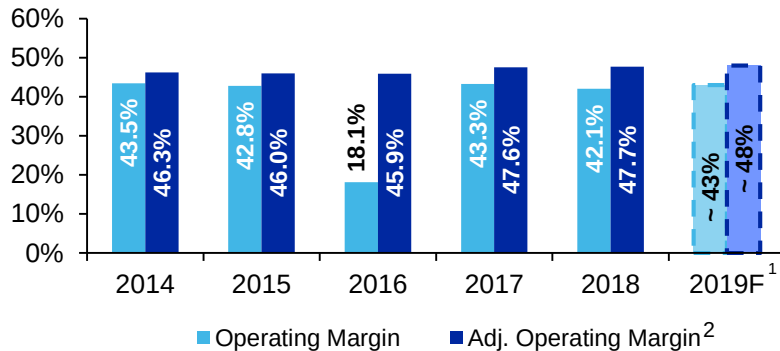
Revenue



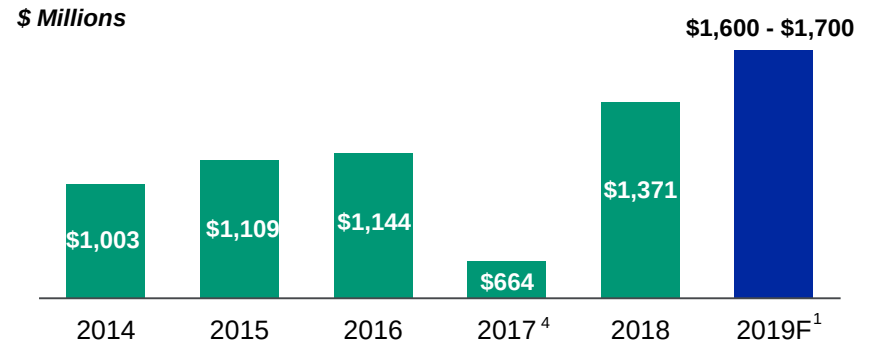
Adjusted Diluted EPS²



Operating Margin³



Free Cash Flow²



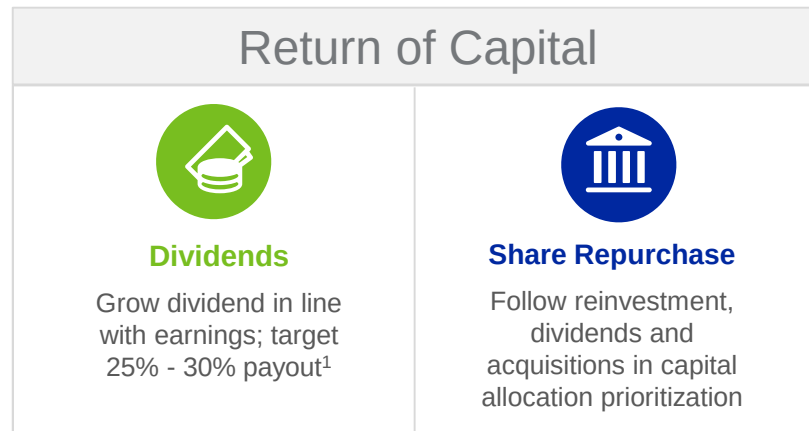
1. Guidance as of February 15, 2019.

2. These figures are adjusted measures. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

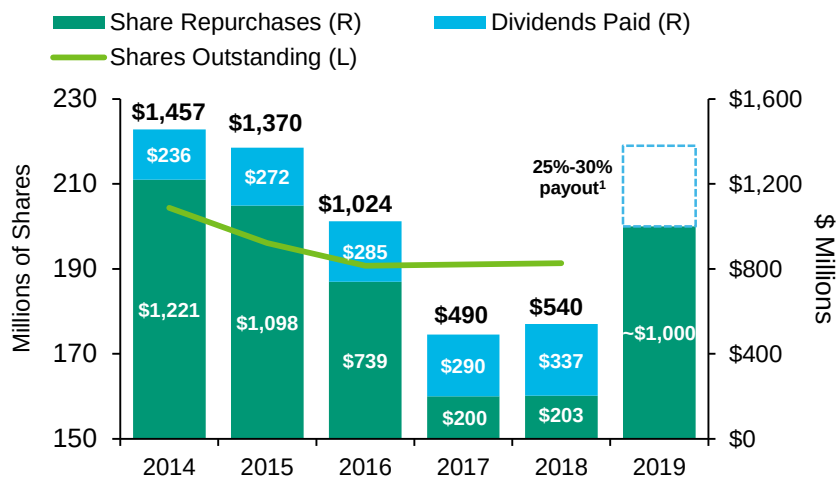
3. 2014 - 2017 operating and adjusted operating margins have been restated to conform to the new presentation for pension expenses.

4. Reduced by \$701 million net of tax settlement charge.

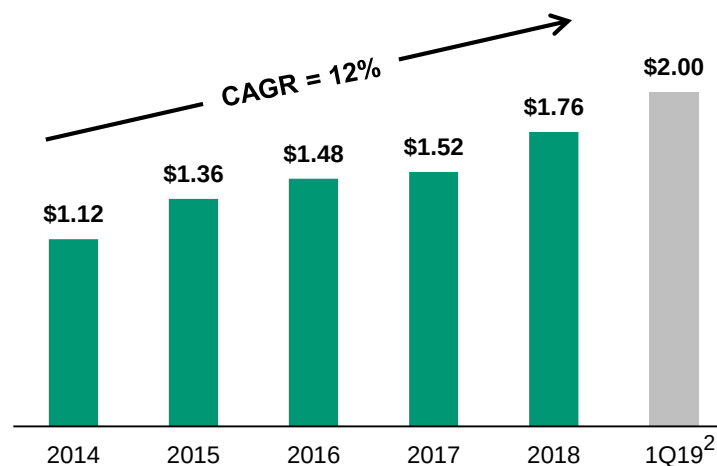
Disciplined Approach to Capital Allocation



Share Repurchases and Dividends Paid



Annualized Dividend Per Share



1. Dividend payout ratio is defined as total dividends paid/adjusted net income.

2. Annualized dividend total, based on first quarter dividend of \$0.50 declared on February 15, 2019.

2019 Guidance Drivers¹

MIS

- » **Stable** economic fundamentals and **GDP growth** in developed regions
- » Market disruption to start the year, followed by **spread tightening** and **issuance markets normalization**
- » Slight **contraction** assumed in annual **global issuance**
- » Tighter credit seen **moderating new mandates**
- » **Recurring revenue** and pricing initiatives support growth
- » Issuance expected to be **flat to down 5%** compared to 2018

MA

- » **Product enhancements** driving customer upgrades and new sales in RD&A, supporting growth across multiple business lines
- » **Bureau van Dijk synergies** on track to achieve ~\$45 million run rate
- » **ERS** resumes growth as **transition** from licenses and services **to SaaS** passes inflection point
- » **Reis** and **Omega Performance** integrated, and \$0.02 **accretive** to adjusted diluted **EPS**

Moody's

- » **Annualized pre-tax savings anticipated to be \$40-50 million, \$10 million above the previously announced range**, providing optionality to reinvest or reduce costs depending on market conditions
- » Strategic management of real estate footprint and hiring activity
- » FX assumptions: British pound (£): \$1.27 to £1 and Euro (€): \$1.14 to €1

1. Guidance as of February 15, 2019.

2019 Outlook

Guidance as of February 15, 2019 ¹	
Revenue	Mid-single-digit % growth
Operating Expenses	Mid-single-digit % growth
Operating Margin	~43% ~48% (Adjusted ²)
Interest Expense, net	\$200 - \$225 million
Effective Tax Rate	21% - 22%
Diluted EPS	\$7.30 - \$7.55 \$7.85 - \$8.10 (Adjusted ²)
Operating Cash Flow	\$1.7 - \$1.8 billion
Free Cash Flow ²	\$1.6 - \$1.7 billion
Share Repurchases	~\$1 billion

1. See press release titled "Moody's Corporation Reports Results for Fourth Quarter and Full Year 2018" from February 15, 2019 for Moody's full 2019 guidance.

2. These metrics are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

3

Capital Markets Overview

Six Main Themes Will Shape Global Credit in 2019 and Beyond

GROWTH

Economic growth, a **core underpinning of credit conditions and quality.**



CYCLICAL THEMES



FINANCIAL STABILITY

Financial stability, a **fundamental building block for the global economy and markets.**



POLITICAL RISKS

Heightened political risks will pose the **greatest source of uncertainty** to credit conditions and quality.

TRADE TENSIONS

US trade policy is the most potent, far-reaching source of **global risk with significant sector and regional impacts** that could derail the global economy.



SECULAR TRENDS



TECHNOLOGY AND INNOVATION

Technology and innovation have the **potential to reshape the credit landscape** for countries, banks and companies.

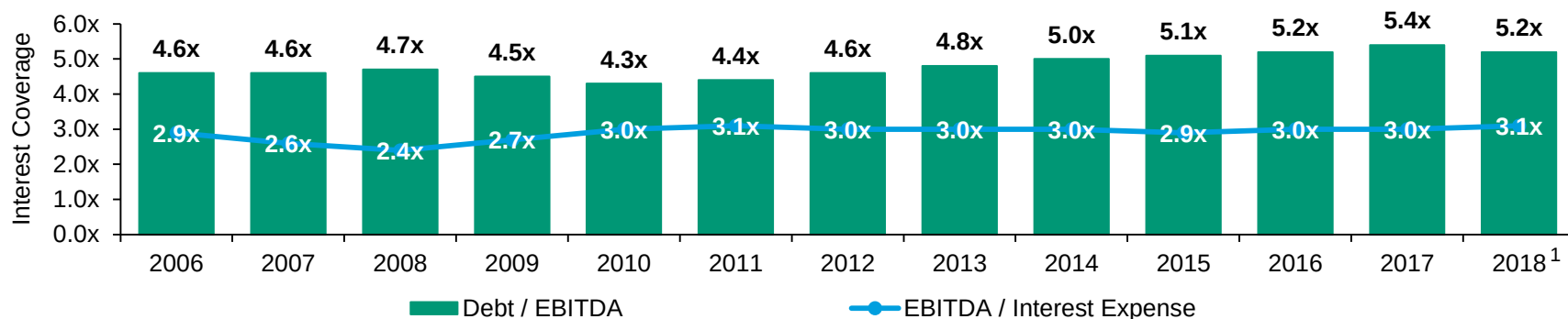


ESG RISKS

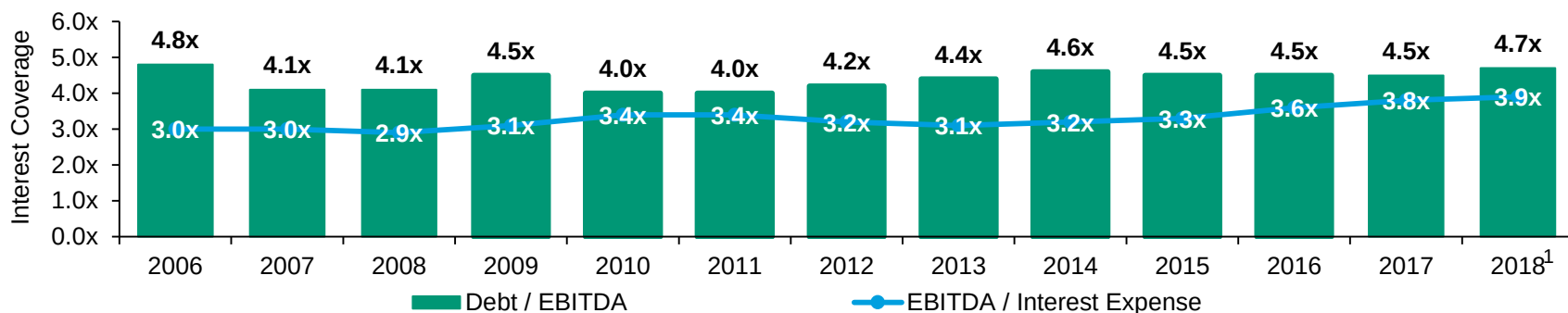
The transition to a low-carbon economy and social and demographic change have the **potential to alter credit profiles.**

Debt Leverage Down in North America but up in Europe; Interest Coverage Slightly Increasing

Credit Metrics: North American Speculative Grade Companies



Credit Metrics: European Speculative Grade Companies

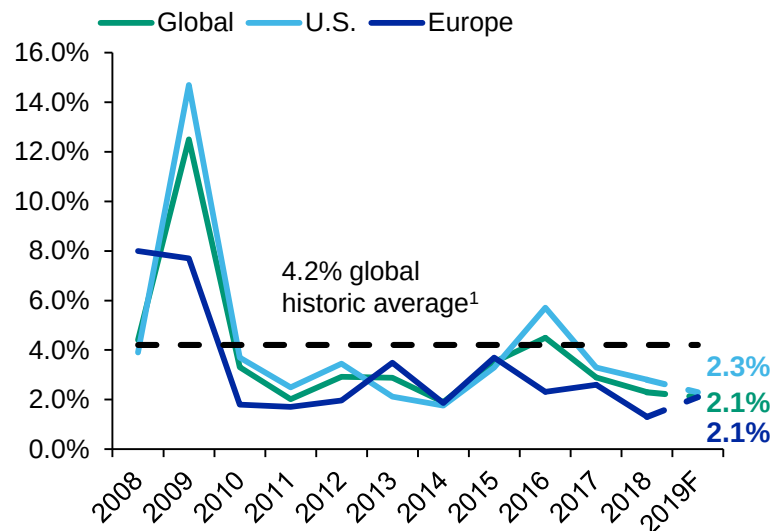


1. Trailing twelve months as of December 31, 2018.

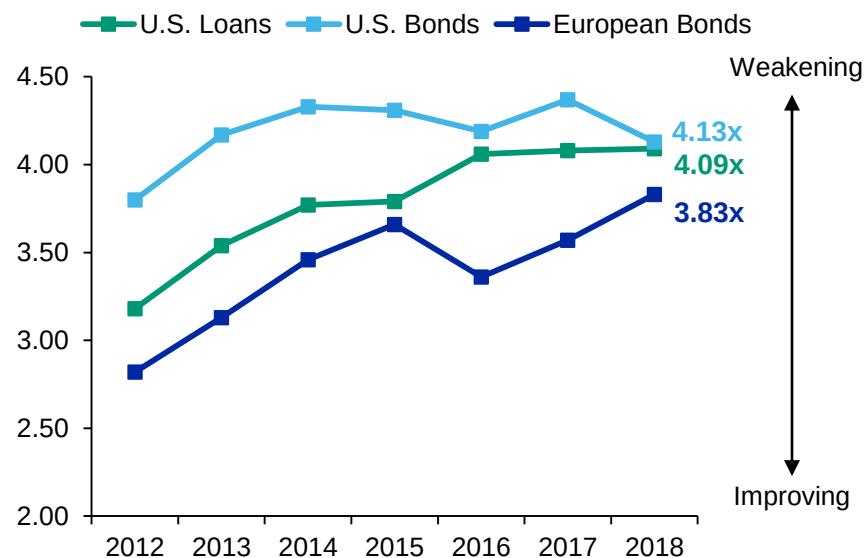
Source: Moody's Investors Service.

Global Default Rates Remain Under Historic Average; Continue to Monitor Covenant Quality

Default Rates for Speculative-Grade Corporate Rated Issuance¹



Covenant Quality Indicators²



- » Global speculative-grade default rate at 2.3% as of December 31, 2018; expected to slightly decrease to 2.1% by December 2019
- » Covenant quality weakening but stable leverage levels support belief that issuer credit conditions remain adequate

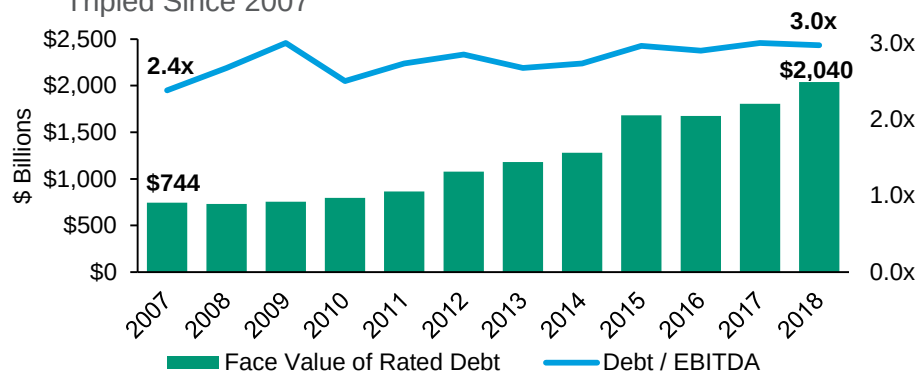
1. Moody's rated corporate global speculative grade default historical average of 4.2% since 1983. 2019 forecast for trailing twelve months ended December 31, 2019.

2. As of the trailing twelve months ended December 31, 2018 in each respective year.

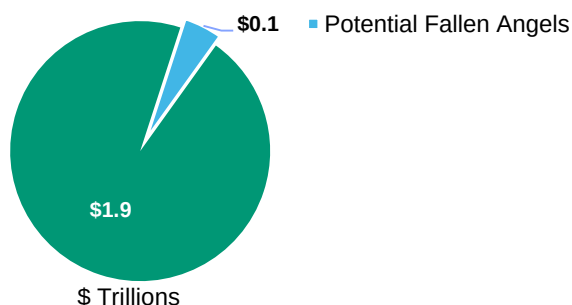
Source: Moody's Investors Service.

Baa-Credit Concentration Grows, with Mitigating Factors

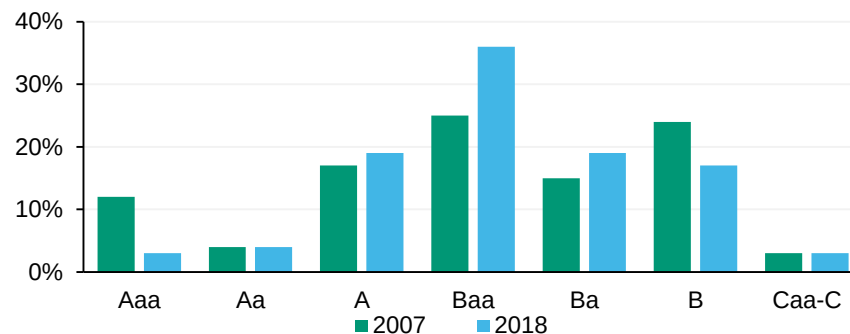
Rated Debt of Baa U.S. Nonfinancial Companies Has Almost Tripled Since 2007



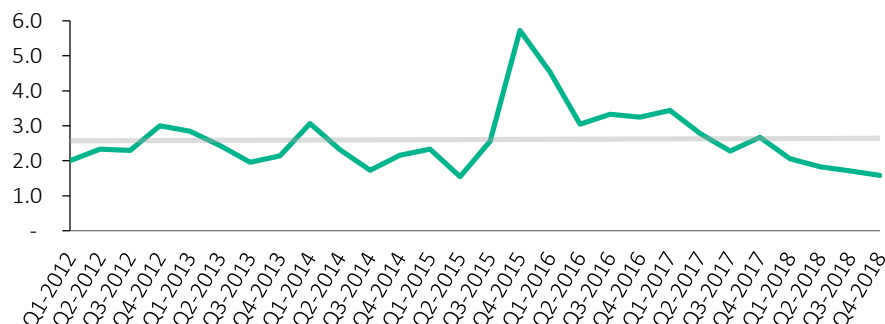
Potential Fallen Angels¹ Account for \$0.1 Trillion of the \$2 Trillion of U.S. Baa-Rated Nonfinancial Debt Outstanding



Baa-rated Debt Now Accounts for More than One-third of The Total Rated Debt of U.S. Nonfinancial Companies



Ratio of Potential Fallen Angels¹ to Potential Rising Stars¹ Declines Globally



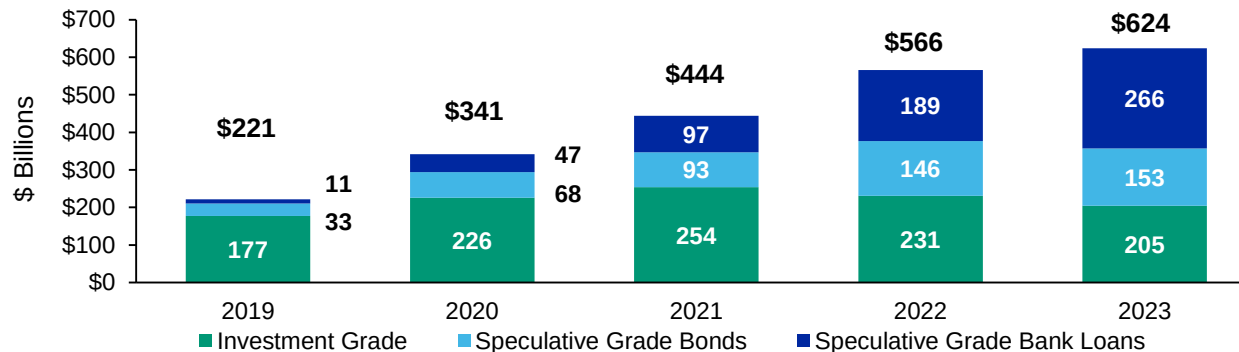
» As compared to 2007, 2018 representative median companies generated more revenue (\$4.7B to \$7.1B), with improved EBITDA margins (20% to 24%) and EBITDA / Interest Expense ratios (7.0x to 8.2x)

1. Fallen Angels and Rising Stars fall within the "The Crossover Zone" which refers to the ratings closest to the line between speculative grade and investment grade. Companies in the zone are rated Baa3 or Ba1. To be considered in the zone, companies rated Baa3 must be on review for downgrade or have a negative outlook, while companies rated Ba1 must be on review for upgrade or have a positive outlook.

Source: Moody's Investors Service.

North America and EMEA Non-Financial Corporates Have Significant Refunding Needs¹

Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



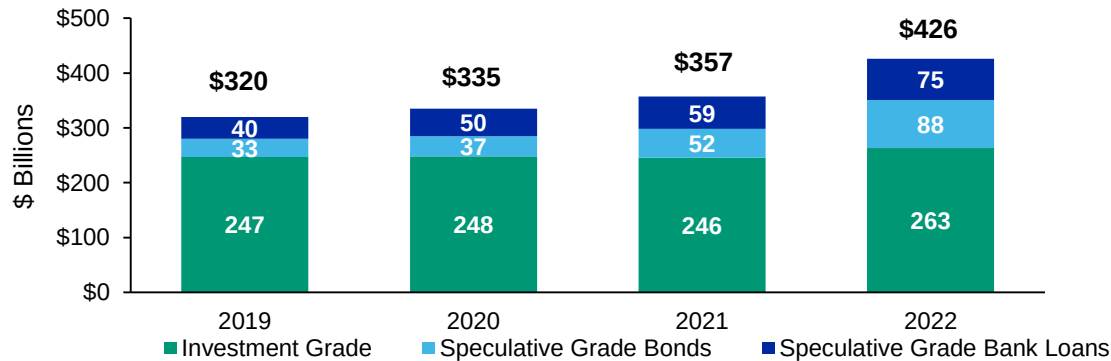
Source: Moody's Investors Service, January 2019.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

» Five-year debt maturities for U.S. non-financial investment-grade corporates exceed \$1 trillion for the second year in a row

» Five-year U.S. speculative grade bank loans refinancing needs up \$47 billion, or 8%, from a year ago

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



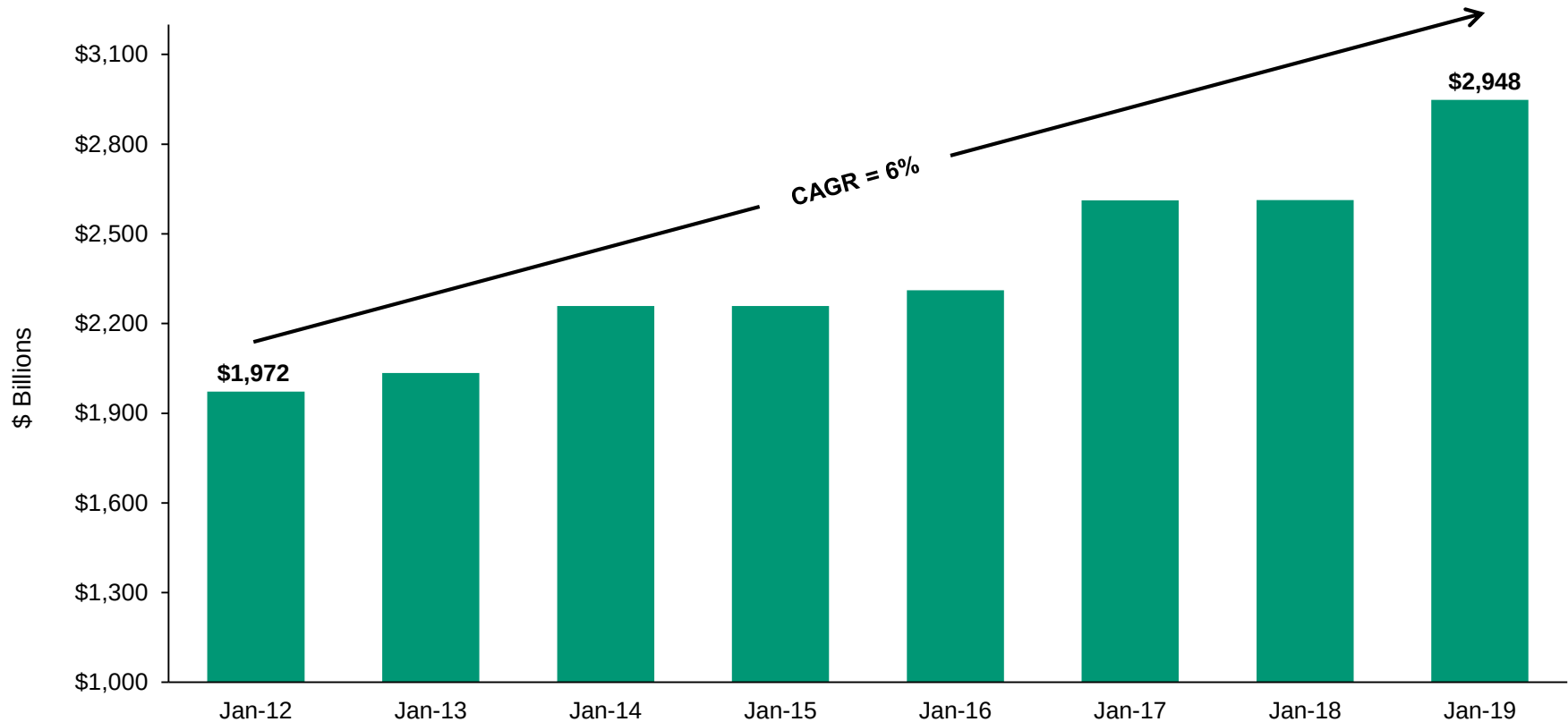
» Four-year debt maturities for EMEA non-financial corporates exceed \$1.4 trillion, up more than \$230 billion, or 19%, from the prior year

Source: Moody's Investors Service, July 2018.

1. Amount reflects total maturities identified in the above sources.

Refunding Needs Have Grown Strongly Over Time

Next Four Years U.S. and EMEA Total Refunding Needs¹ as of:



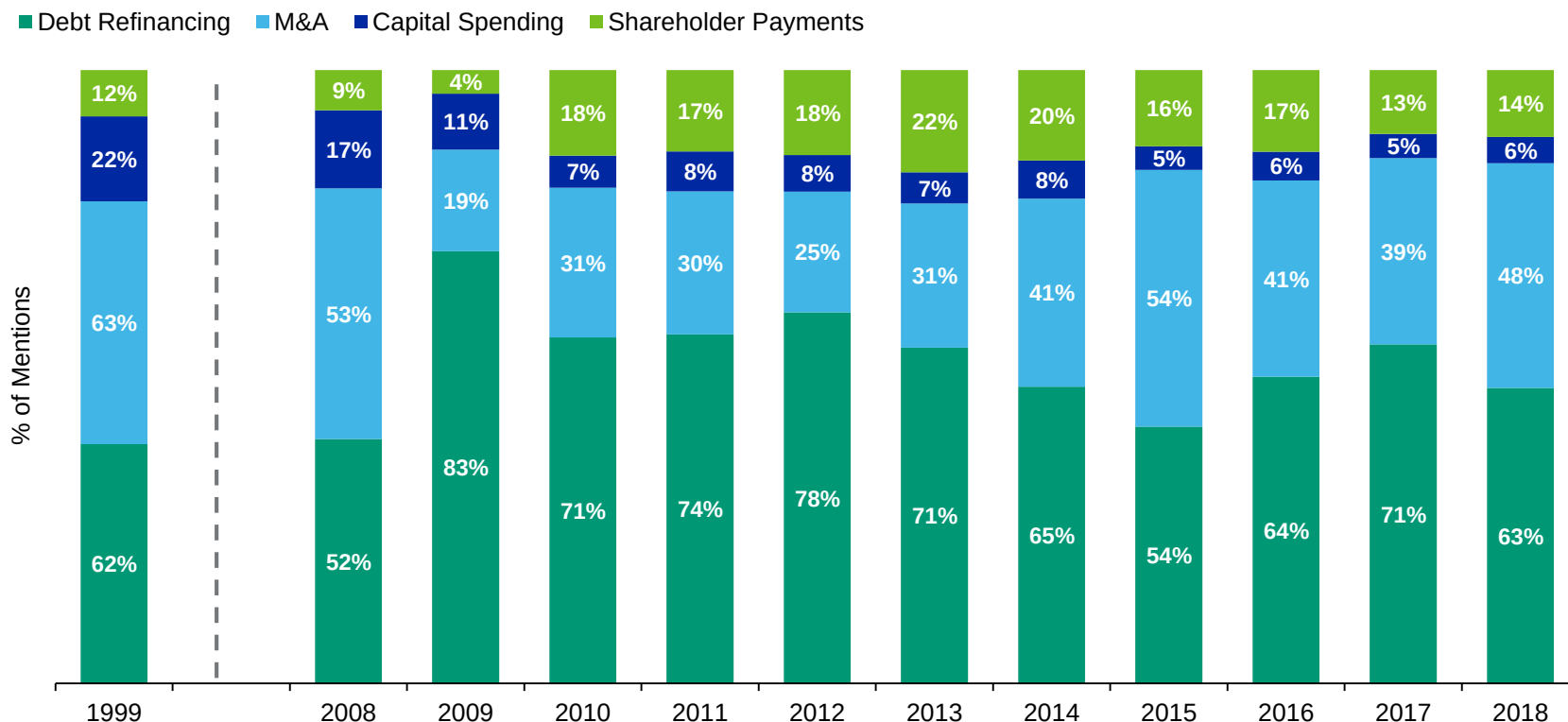
1. Amount reflects total maturities identified below.

Source: Moody's Investors Service. U.S. and EMEA refunding needs reports January 2012 – January 2019.

Note: Data represents U.S. and European MIS rated corporate bonds & loans.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

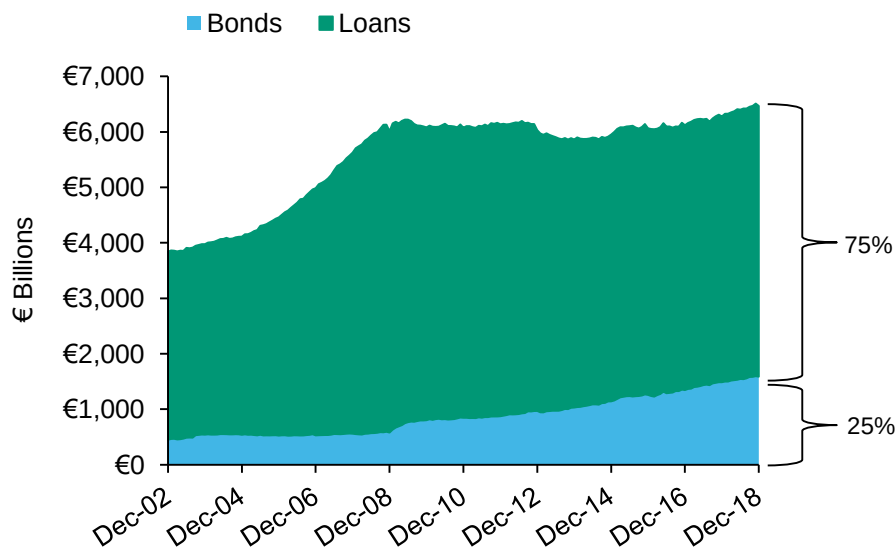
Uses of Funds from USD High Yield Bonds and Bank Loans¹



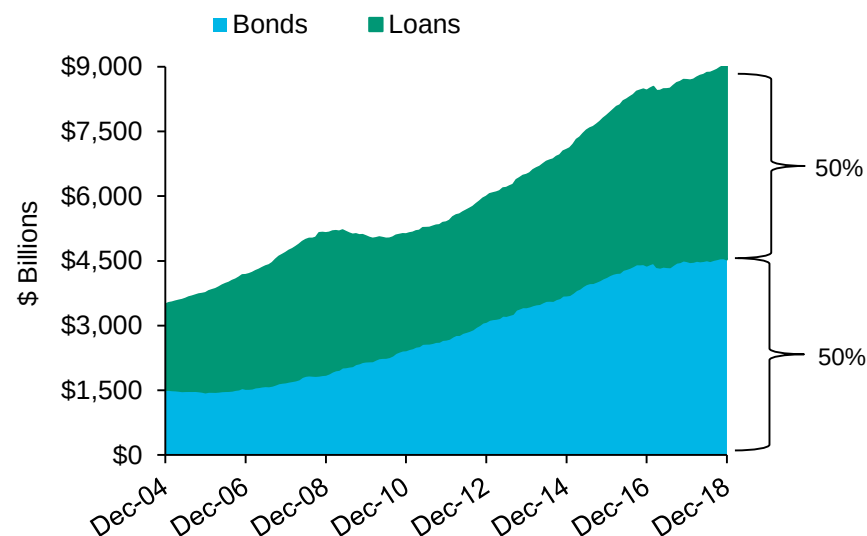
1. Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.
Source: Moody's Analytics.

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



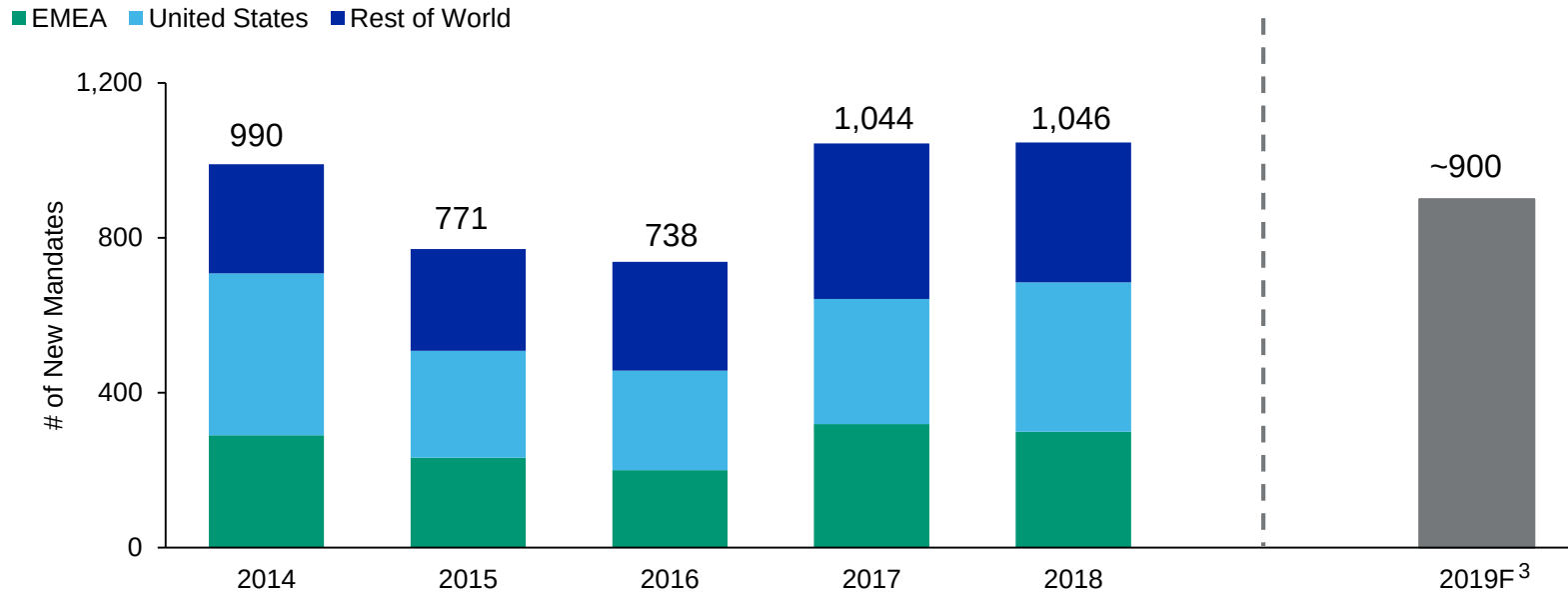
U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European and U.S. data is through December 2018.

New Rating Mandates Provide Recurring Revenue¹ Growth

Global New Rating Mandates²



» Expect ~900 new mandates in 2019³

» MIS recurring revenue growth of 6% in 2018 primarily driven by increased volume of monitoring fees from recent new mandates

1. MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.
2. Rated by Moody's Investors Service.
3. New mandates estimate as of February 15, 2019.

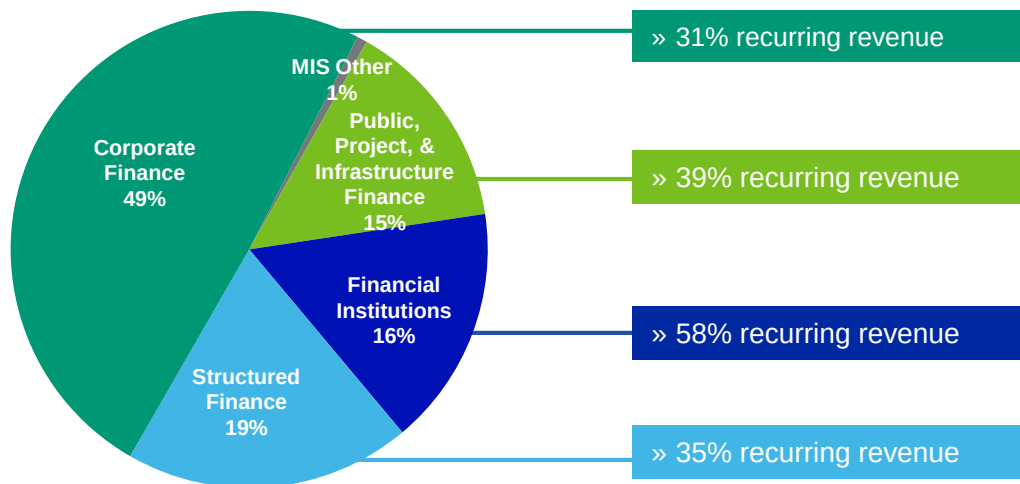
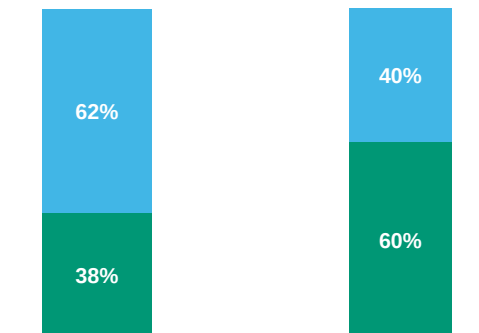
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Moody's Investors Service

Moody's Investors Service Financial Profile

FY 2018 Revenue: \$2.7 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



2019 Revenue Guidance as of February 15, 2019

Global	↑ low-single-digit % range
U.S.	↑ low-single-digit % range
Non-U.S.	↔ approximately flat
Adjusted Operating Margin	• approximately 58%

The Benefits of a Moody's Rating



Illustrative Value of a Moody's Rating

Example: 10 year \$500 million corporate bond

<u>Unrated</u>		<u>Rated by Moody's</u>
\$500,000,000	Bond	\$500,000,000
x 4.3%	Interest rate	x 4.0%
= \$21,500,000	Annual interest payments	= \$20,000,000
x 10 years	Tenor	x 10 years
= \$215,000,000	Lifetime interest expense	= \$200,000,000

**\$15 million in total interest expense
vs.
lifetime cost of a rating**

Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Broad Coverage Serves Global Needs



Americas

- » 30,400+ rated companies and structured deals
- » \$34+ trillion total debt rated
- » 18,600 research publications
- » Offices in 5 countries*



EMEA

- » 4,700+ rated companies and structured deals
- » \$21+ trillion total debt rated
- » 6,700 research publications
- » Offices in 13 countries*



APAC

- » 2,100+ rated companies and structured deals
- » \$14+ trillion total debt rated
- » 3,500 research publications
- » Offices in 7 countries*

~15 Years
Lead/Senior Analyst
tenure

**Institutional
Investor**

#1 U.S. Credit
Rating Agency
2012-2018²

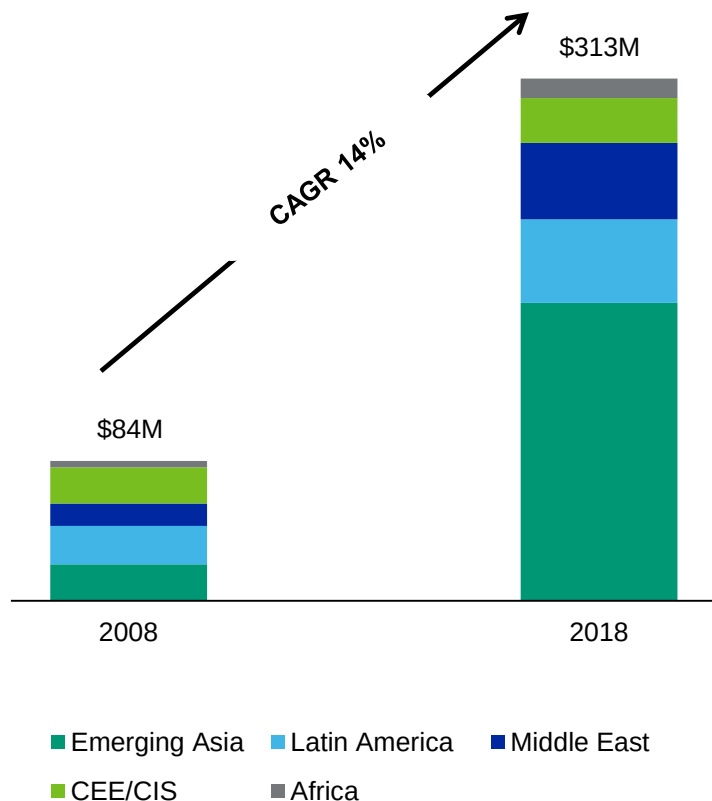
Source: Moody's Investors Service.

All data as of January, 28 2019 excluding: Research Data covers the period January 1, 2018 – December 31, 2018.

All numbers are rounded other than those marked *

Continue to Invest in Key International Markets

Revenue in Emerging Markets



1. As of December 2018. Source: Wind Information.
Sources: Dealogic, Moody's Analytics, Moody's Investors Service.

China



- » Successful joint venture with CCXI, leading domestic rating agency
- » CCXI provides almost 1,500 domestic Chinese ratings in the Interbank bond and exchange-traded markets; 39% coverage¹
- » Cross border market rated via MIS Hong Kong office
- » In 2017, China announced it will allow foreign firms to provide credit rating services in part of the domestic market; license application in process

Latin America



- » Minority investments in Peru and Chile deepen Moody's presence in dynamic and expanding markets

Rest of World



- » Acquired full ownership of KIS, a leading provider of domestic credit ratings in South Korea
- » Increased majority stake in ICRA to serve growing domestic Indian bond market
- » Opened Saudi Arabia office

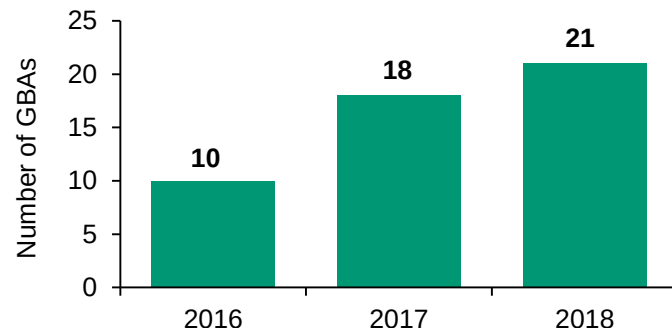
Moody's Investors Service ESG Initiatives

Three Primary Objectives



Analysis

- » 2019 global green bond issuance forecast of \$200 billion, a projected increase of 20% over 2018¹
- » Moody's Green Bond Assessment ("GBA") portfolio is expected to save an estimated 2.6 million metric tons of annual carbon emissions²



Research

- » In 2018, published over 200 MIS research reports focused on ESG risks and opportunities, up ~170% from 2017



Outreach

- » Participated in 65 global events in 2018 to elevate Moody's voice in ESG sphere as a thought leader
- » Collaborate with key organizations and influencers in the market



1. Forecast as of January 31, 2019.
2. Based on preliminary 2018 data. Sources: Climate Bonds Initiative, Moody's Investors Service.

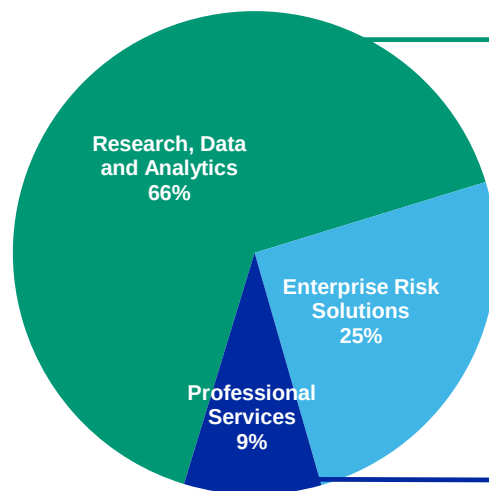
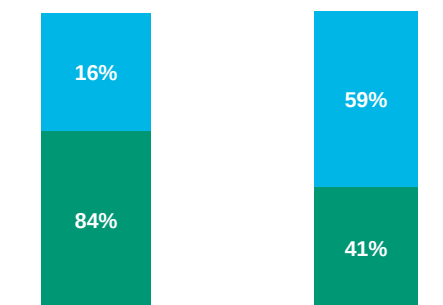
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Moody's Analytics

Moody's Analytics Financial Profile

FY 2018 Revenue: \$1.7 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



» 98% recurring revenue
» ~ 96% retention rate¹

» 77% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

2019 Revenue Guidance as of February 15, 2019

Global

↑ low-double-digit % range

U.S.

↑ mid-teens % range

Non-U.S.

↑ high-single-digit % range

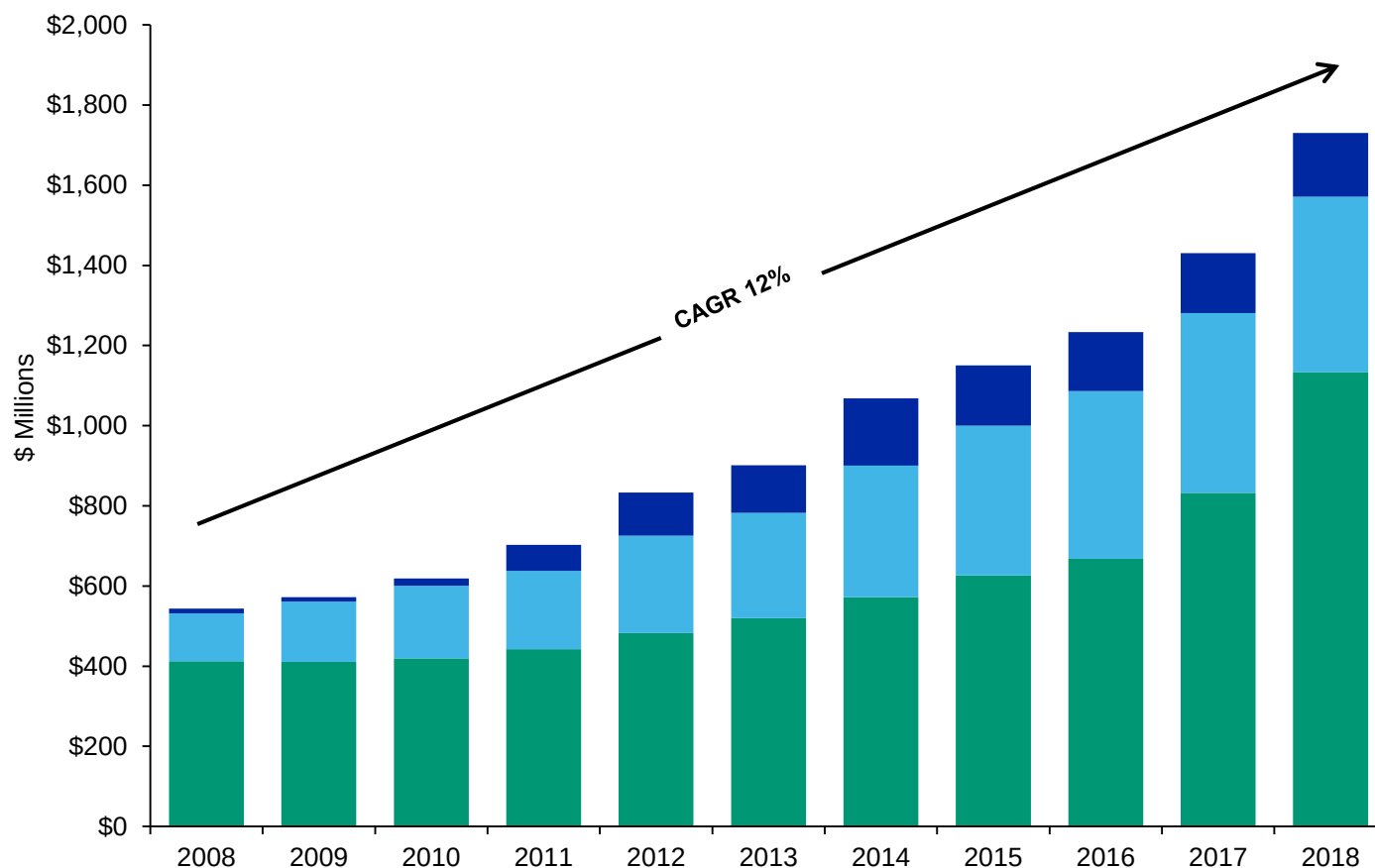
Adjusted Operating Margin

• 29% - 30%

1. Excludes Bureau van Dijk.

Moody's Analytics has Several Platforms for Growth

Revenue More Than Tripled Since Inception



Moody's Analytics

2018 Revenue: \$1,730m
2008 – 2018 CAGR: +12%
(~55% organic)

Professional Services

2018 Revenue: \$159m
2008 – 2018 CAGR: +30%
(~18% organic)

Enterprise Risk Solutions

2018 Revenue: \$437m
2008 – 2018 CAGR: +14%
(~66% organic)

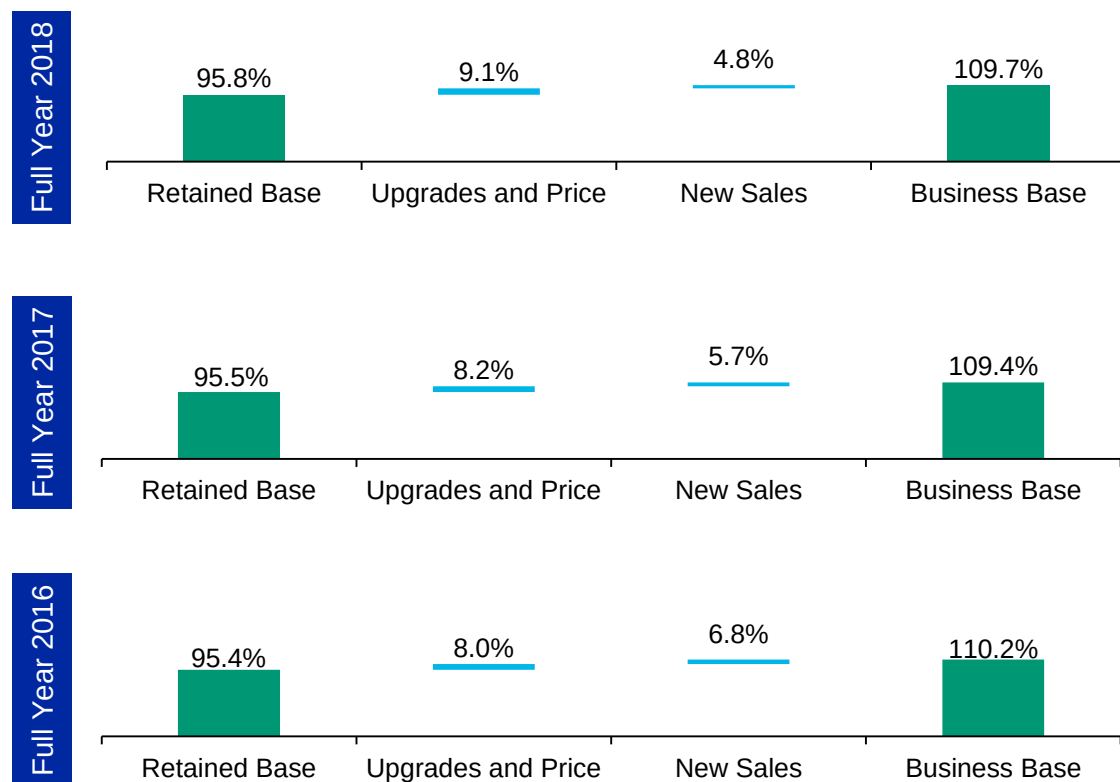
Research, Data & Analytics

2018 Revenue: \$1,134m
2008 – 2018 CAGR: +11%
(~57% organic)

Note: Individual line of business revenues may not add up to total Moody's Analytics revenue due to rounding.

RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales

Subscription Sales Growth
(constant currency)



Expansion of ratings coverage



Production of insightful credit analysis



New customers in geographies with developing debt capital markets



Expansion of data sets and delivery options



Strong customer retention

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis and excludes Bureau van Dijk. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers.

Bureau van Dijk Collects and Enhances Information to Deliver a Market Leading Global Dataset

Diversified IP Network¹

300 Million
Private Companies

74 Thousand
Public Companies

218 Million
Director Contacts

Data from 160+
Information Providers

Publicly Available Data

Other Data Sourced
By Bureau van Dijk

High Value Customer Solutions



Compliance and Financial Crime



Corporate Finance and M&A



Corporate Credit Risk



Tax and Transfer Pricing



Business Development and Strategy



Data Management



Supplier Risk and Procurement



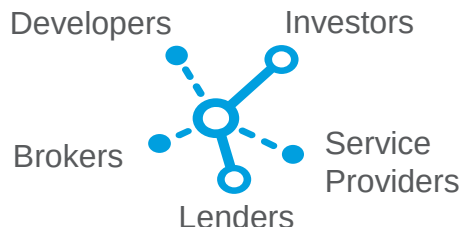
Financial Credit Risk

1. Data as of January 31, 2019.

Reis Accelerates MA's Entry into CRE Data & Analytics



Banks, insurers and asset managers have substantial exposures to commercial real estate



Highly fragmented ecosystem of information sources & users



Complex analysis, including tenant credit quality, long-term forecasts of rental demand & property supply



Powerful REIS data set, combined with MA capabilities and partnerships with other CRE specialists, enables Moody's to set much needed standards in data and analytical practices

Note: MCO is a strategic investor in CompStak and Rockport Val.

ERS Solutions Address Diverse Needs and Customers

Credit Risk & Actuarial Analytics

Helps risk managers assess and manage current and future exposures across all asset classes

Accounting Calculation & Reporting

Produces key calculations and reports required by many of the world's accounting standards

Regulatory Calculation & Reporting

Generates key calculations and reports required by many of the world's financial regulations

Credit Assessment & Origination

Automates financial spreading and credit scoring, decision making and monitoring

Portfolio & Capital Strategy

Helps firms to improve portfolio performance and meet regulatory and economic capital requirements

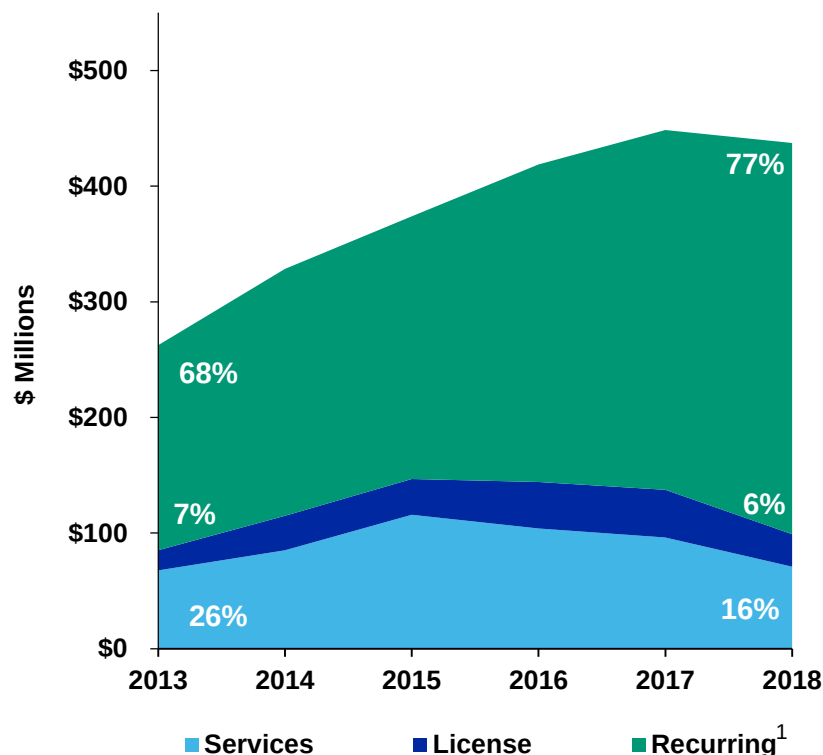
Asset & Liability Management

Integrates ALM, liquidity risk management, funds transfer pricing and regulatory reporting capabilities into a seamless enterprise platform



ERS Software-as-a-Service (“SaaS”) Transition Progressing

Revenue and Percentage of Total



Growth Drivers

- » Strong 2018 subscription sales drives 2019 recurring revenue
- » New accounting standards prove to be good opportunity
 - CECL, IFRS17 are promising
- » Next generation products
 - Support digitization and automation trends
 - Prioritize analytics to support business decisions

Margin Expansion Continues

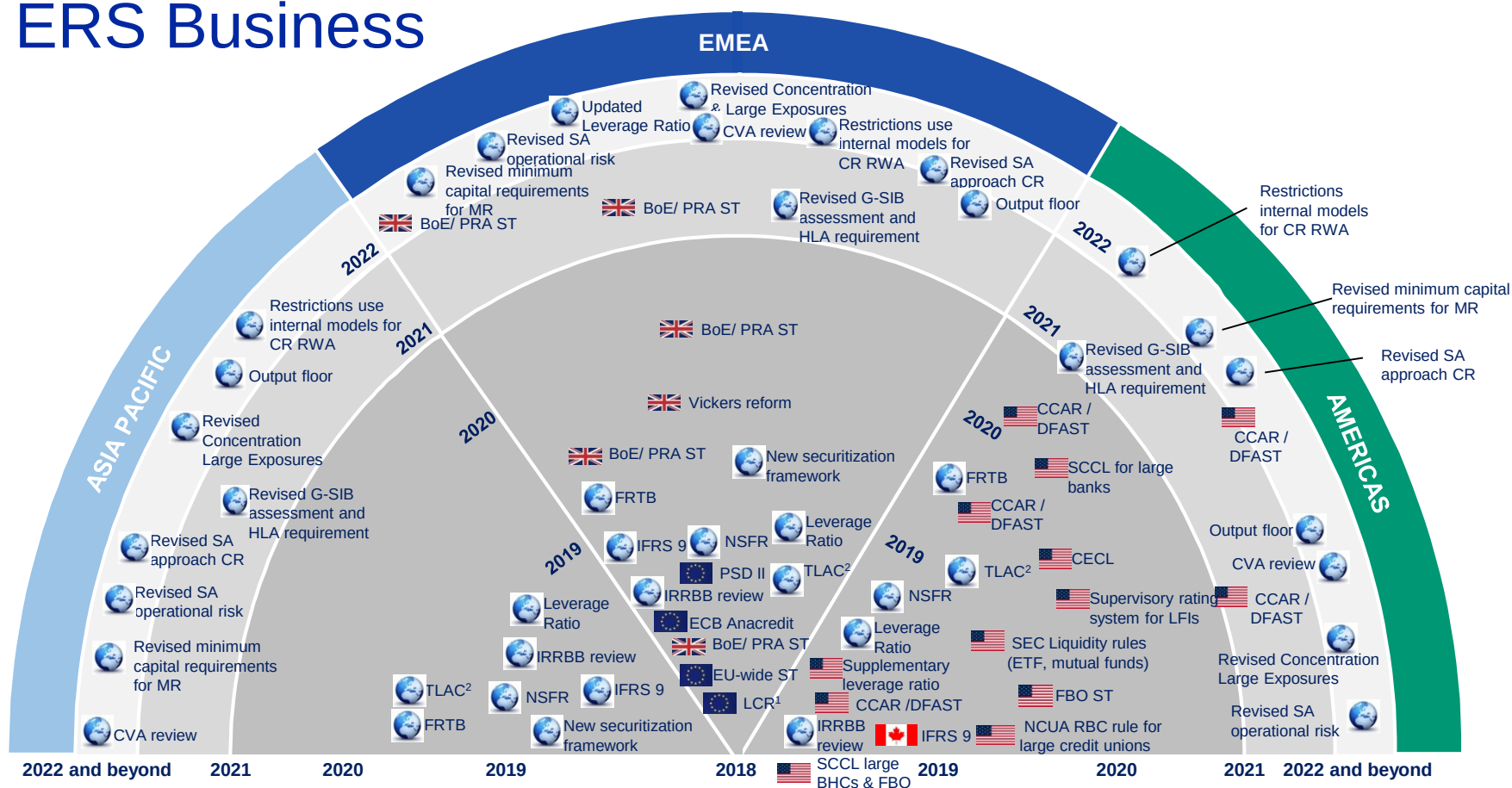
- » Shift toward SaaS model provides more scalability
- » Single code base and limited customization drive operating leverage

TTM¹ Sales and Revenue as of 4Q18:

- » Subscriptions (recurring):
 - Sales +12%; Revenues +9%
- » One-time (non-recurring):
 - Sales -10%; Revenues -28%

¹ Recurring revenue includes maintenance and subscription.

Global Regulatory and Accounting Drivers for the ERS Business



Source: Moody's Analytics market research as of January 2019.

Note: MiFID II, MiFIR and GDPR regulations are relevant to the banking sector but do not impact on Moody's Analytics products and so have not been included on the radar.

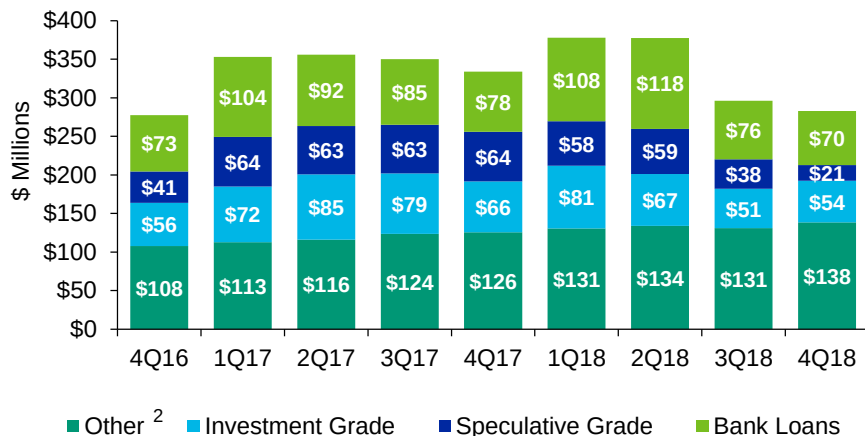
1. The implementation of the LCR in the EU was: 60% in 2015, 70% in 2016, 80% in 2017 and 100% in 2018. In the US, advanced-approach banks had to meet 80% of the LCR by January 1, 2015 and 100% of the ratio by January 1, 2017.
2. The G-SIB surcharge will expand the conservation buffer, subject to a 3 year phase in period. G-SIBs will be required to hold a minimum Total Loss-Absorbing Capacity" (TLAC) of at least 16% from 2019 and 18% by 2022.

6

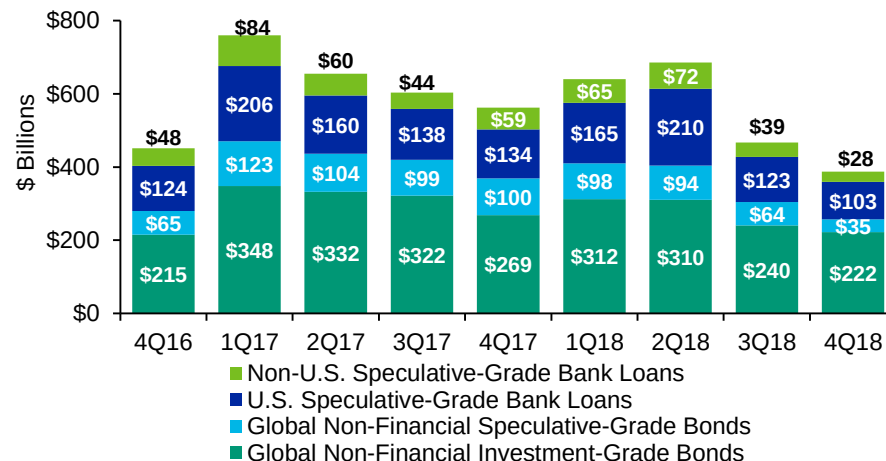
Appendix

Corporate Finance: Revenue and Issuance

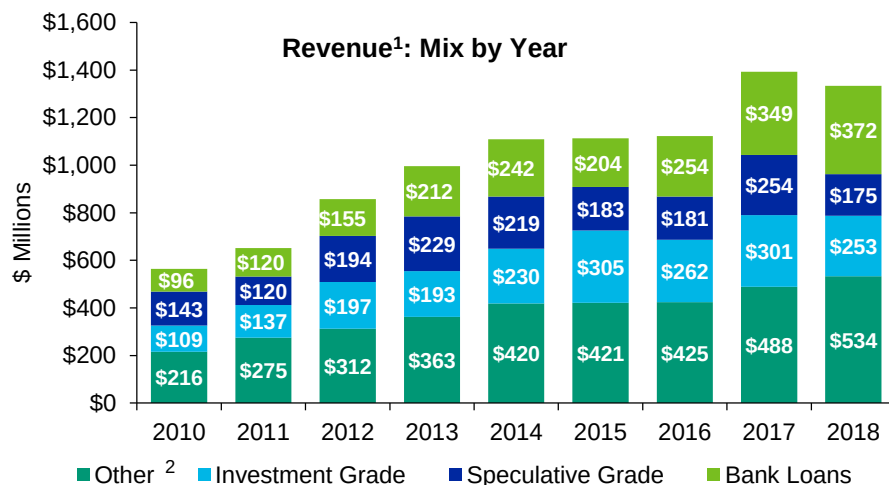
Revenue¹: Mix by Quarter



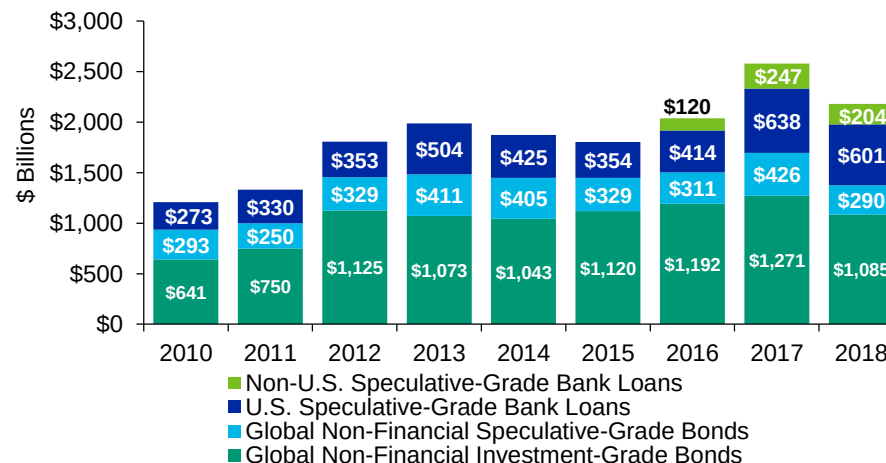
Issuance³: Mix by Quarter



Revenue¹: Mix by Year



Issuance³: Mix by Year



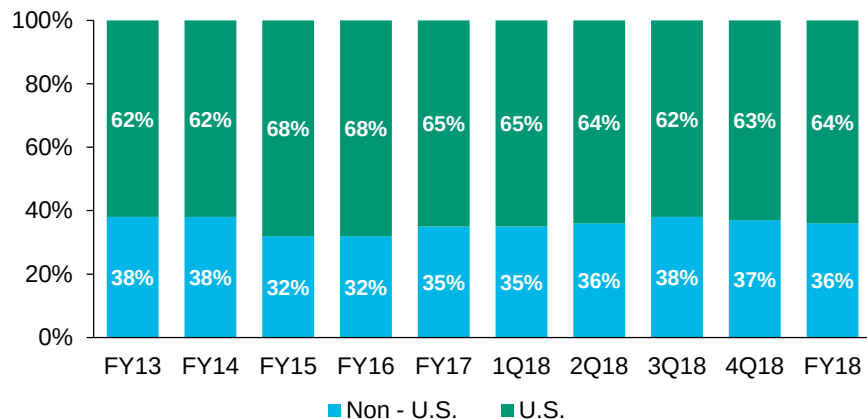
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

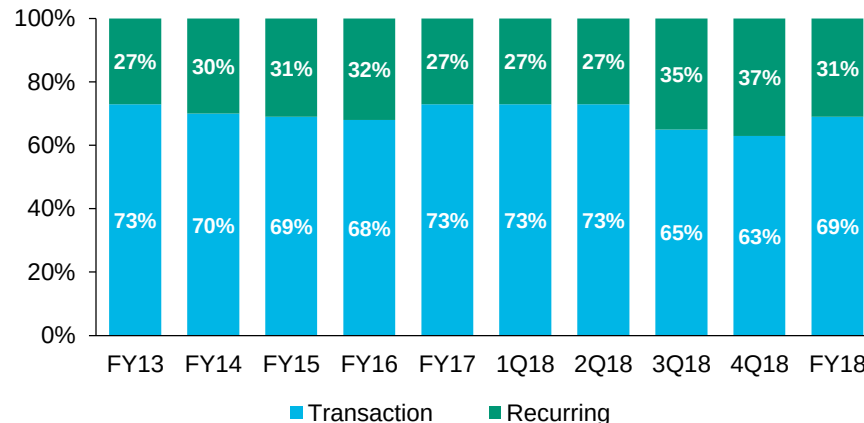
3. Sources: Moody's Analytics, Dealogic. U.S. and Non-U.S. Speculative-Grade Bank Loans represent only Moody's rated speculative-grade bank loans. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

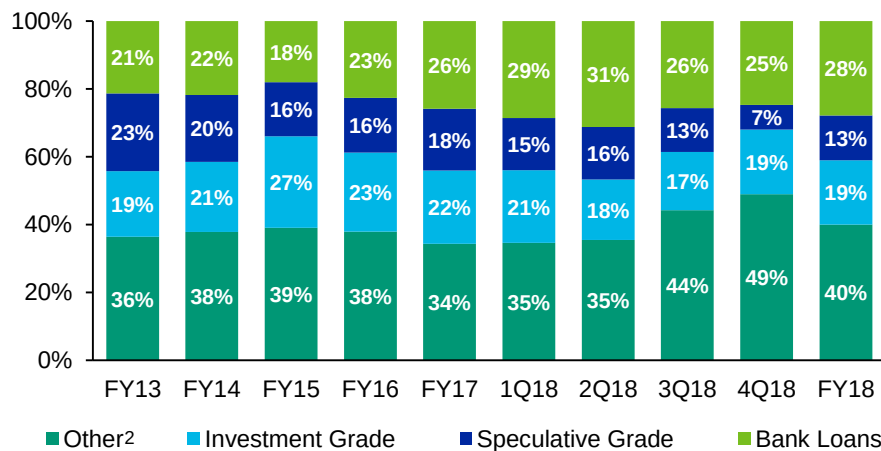
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



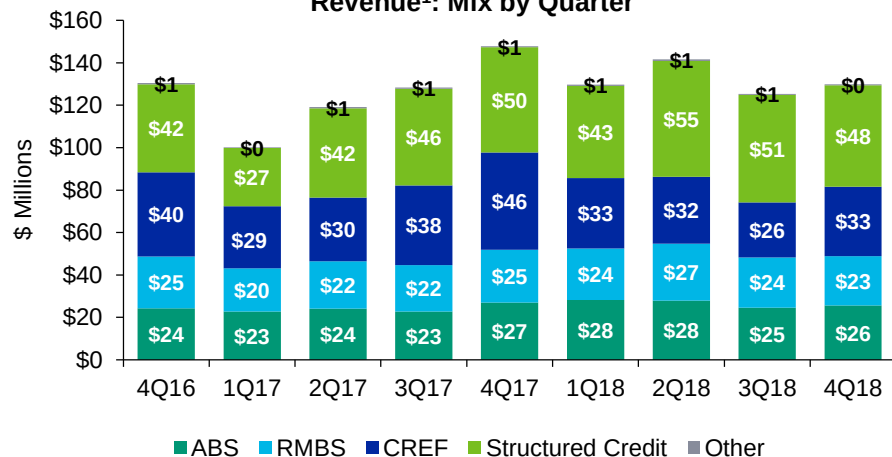
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

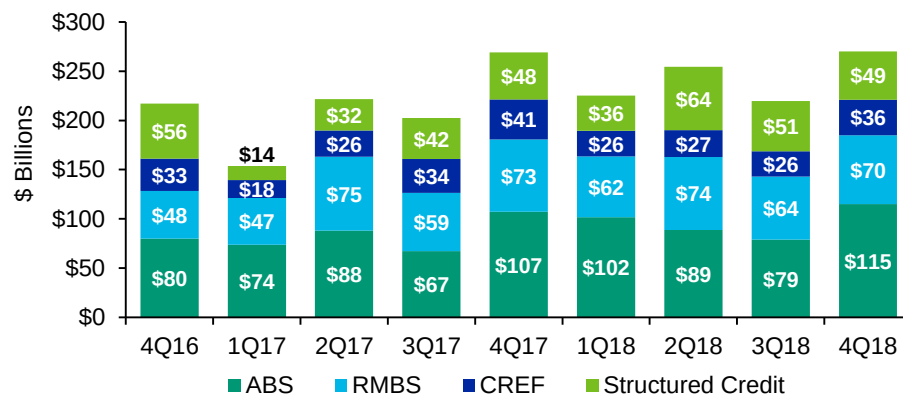
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

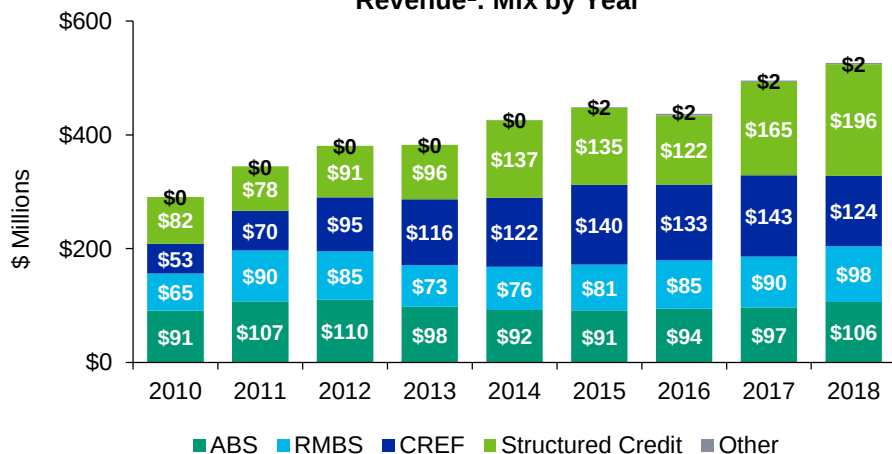
Revenue¹: Mix by Quarter



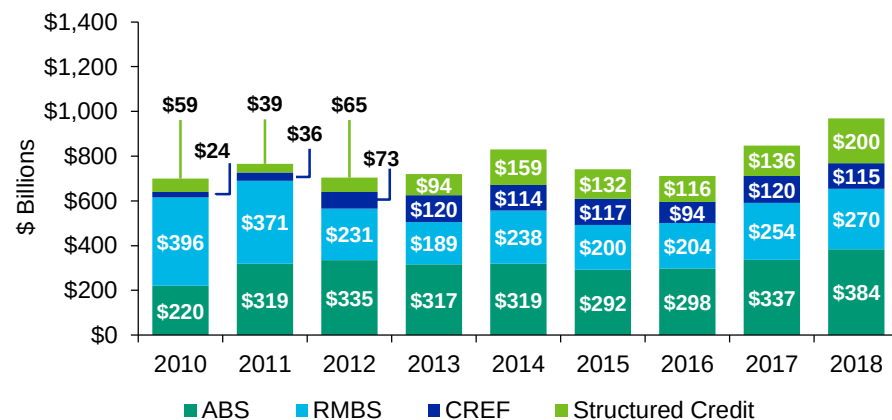
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year



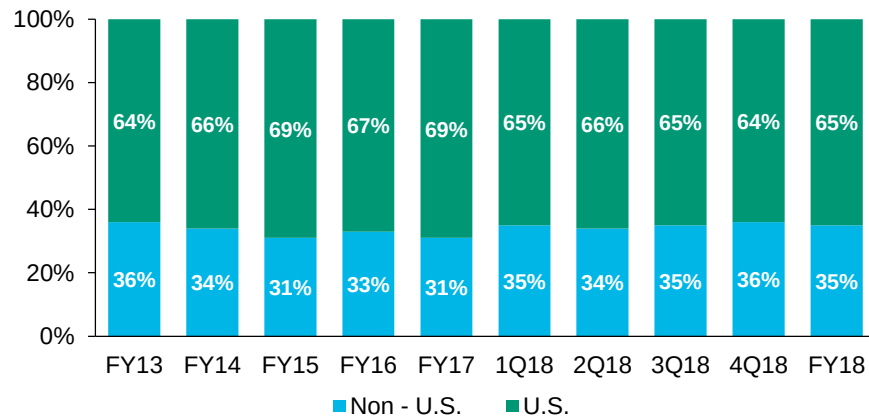
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

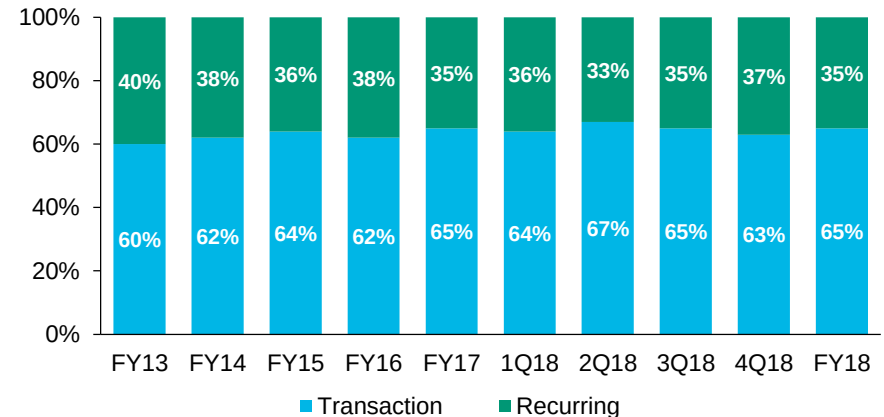
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

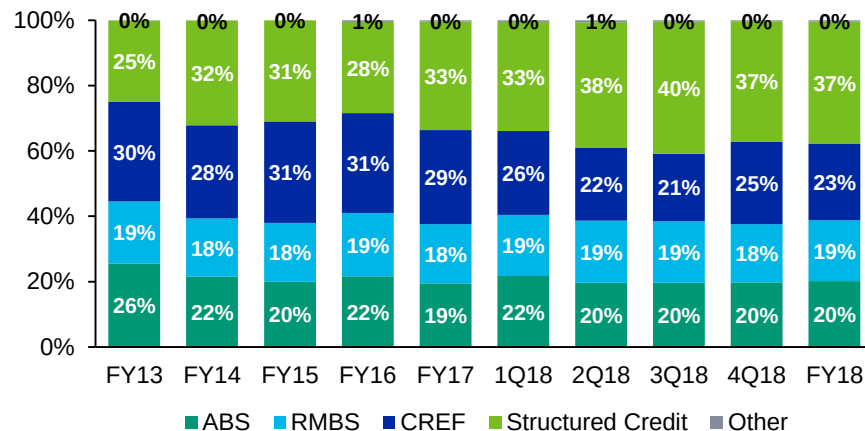
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



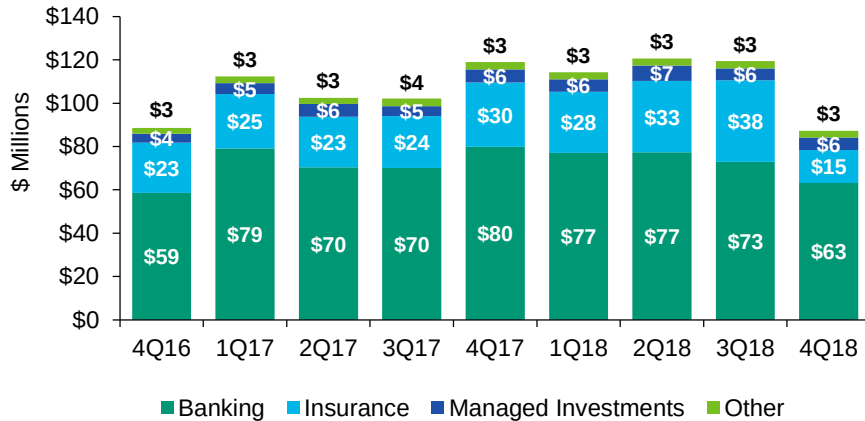
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

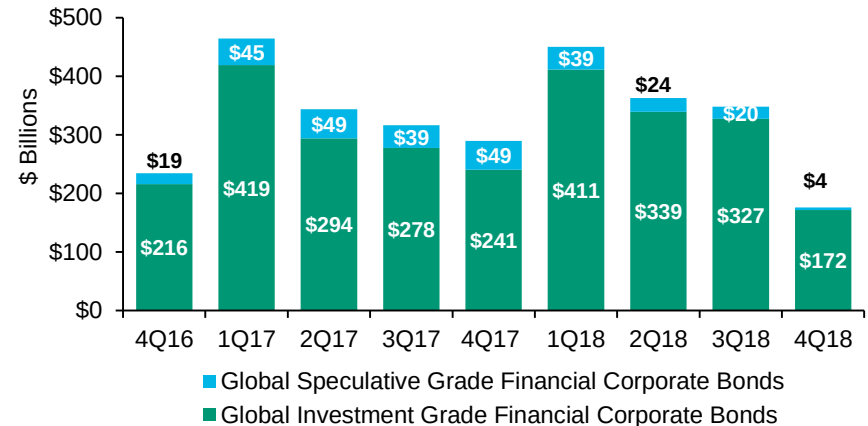
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Financial Institutions: Revenue and Issuance

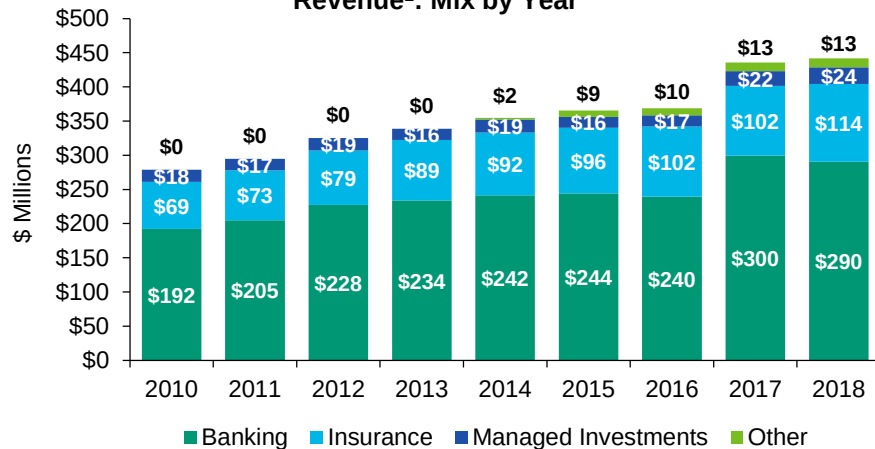
Revenue¹: Mix by Quarter



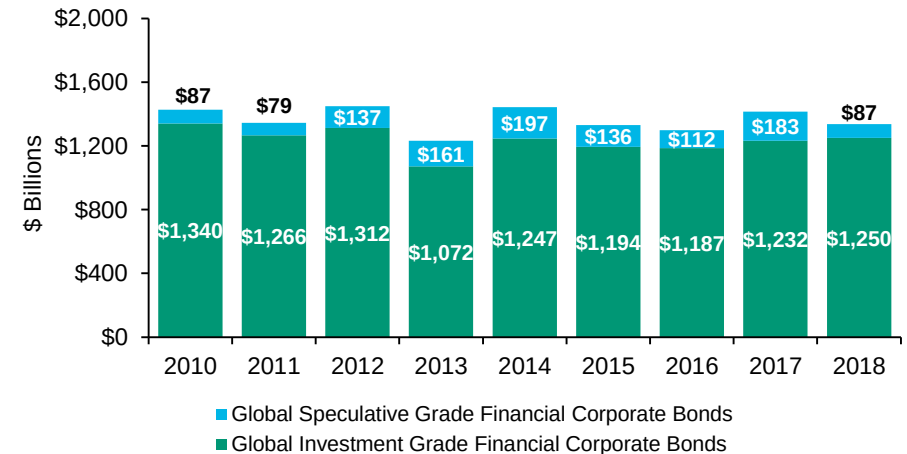
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year

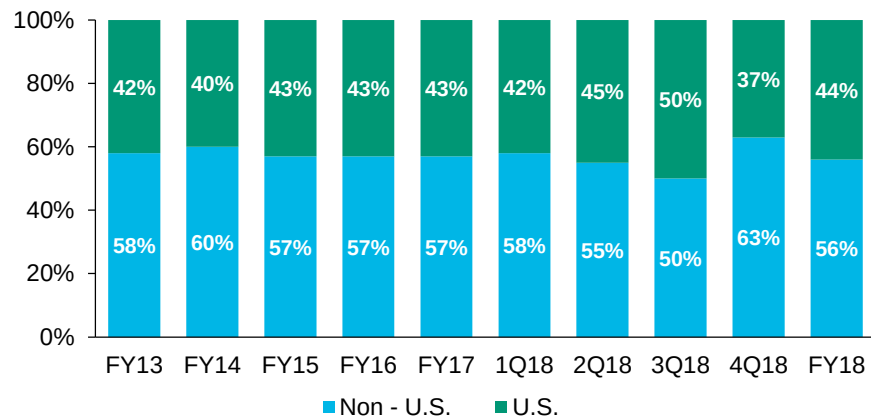


1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

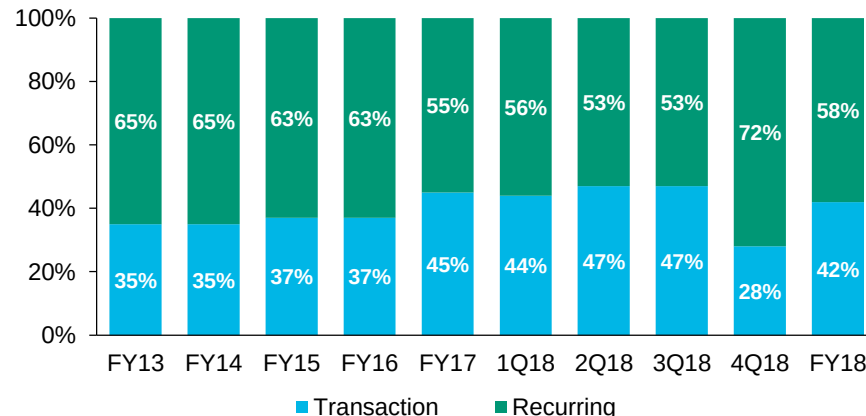
2. Sources: Moody's Analytics, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

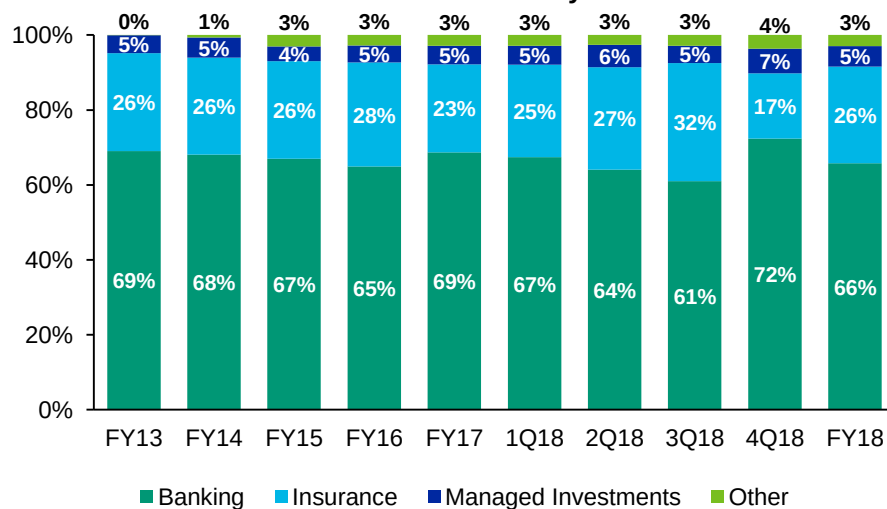
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



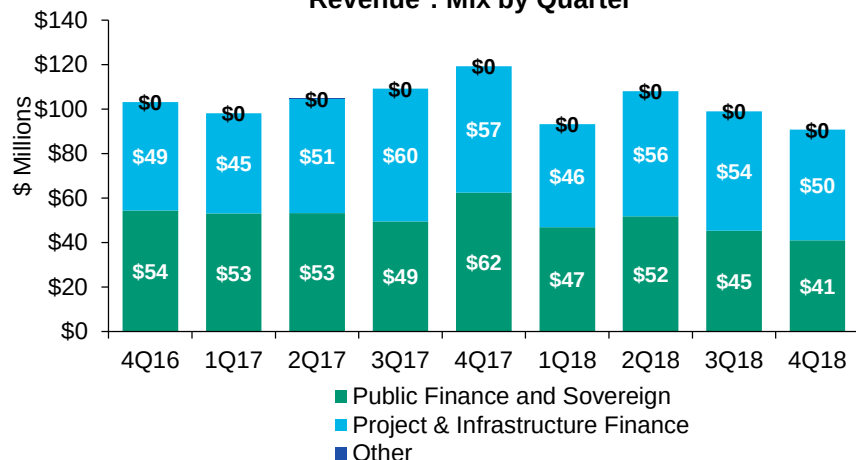
Revenue¹: Distribution by Product



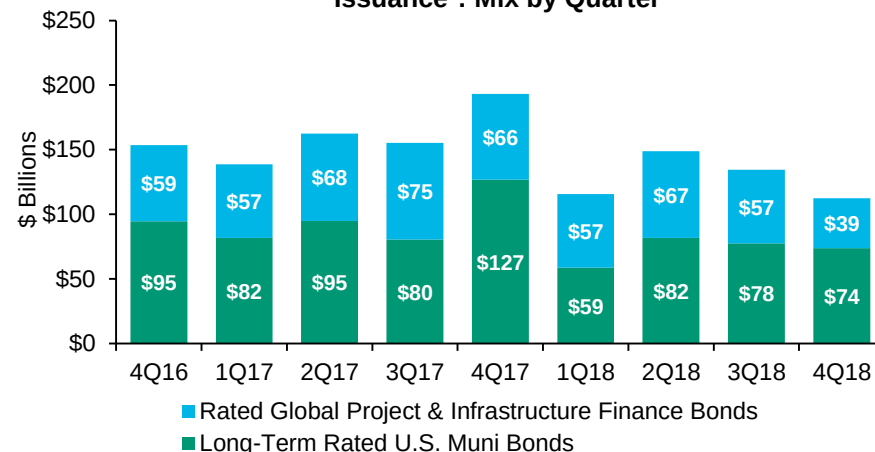
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance

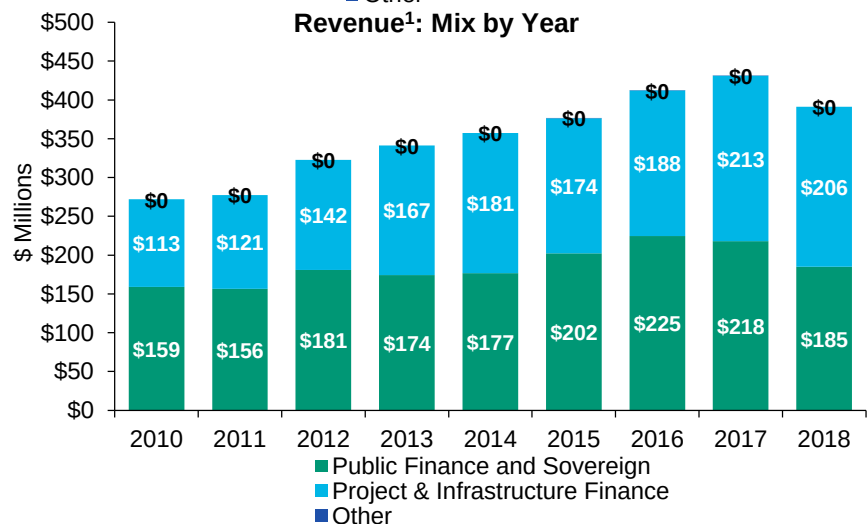
Revenue¹: Mix by Quarter



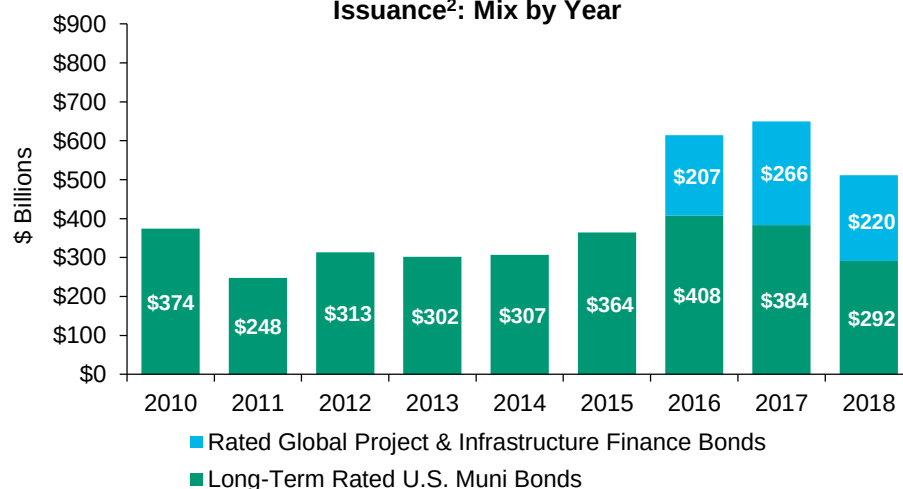
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year



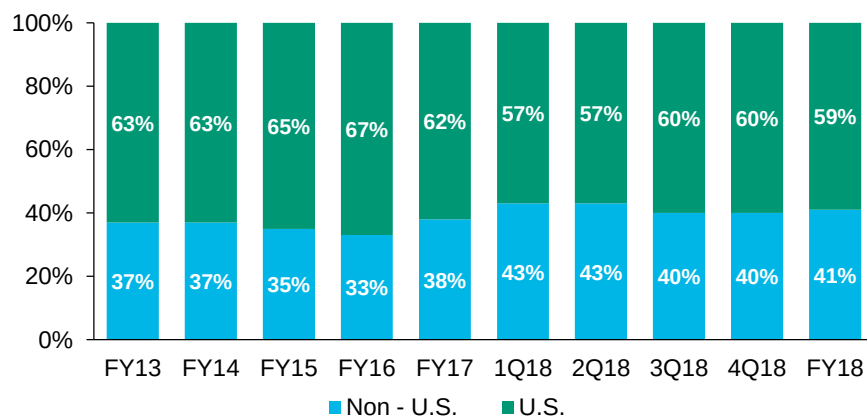
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

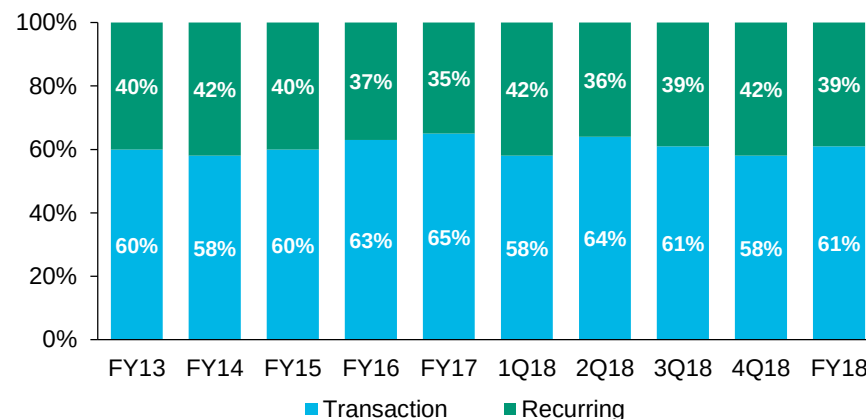
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

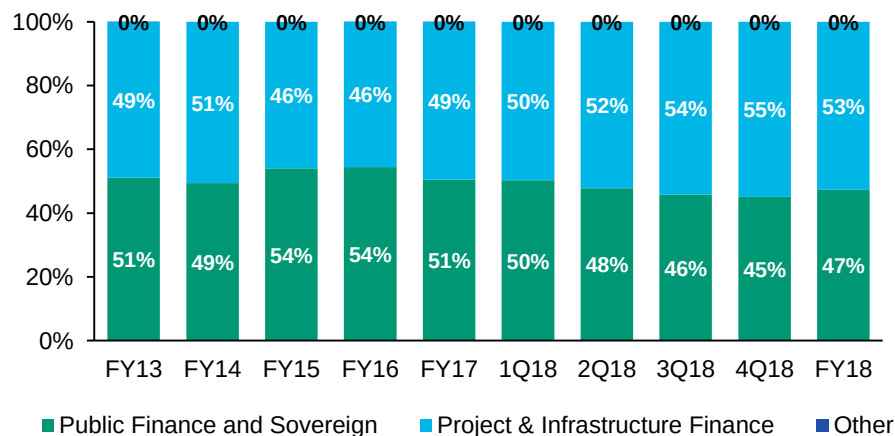
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction

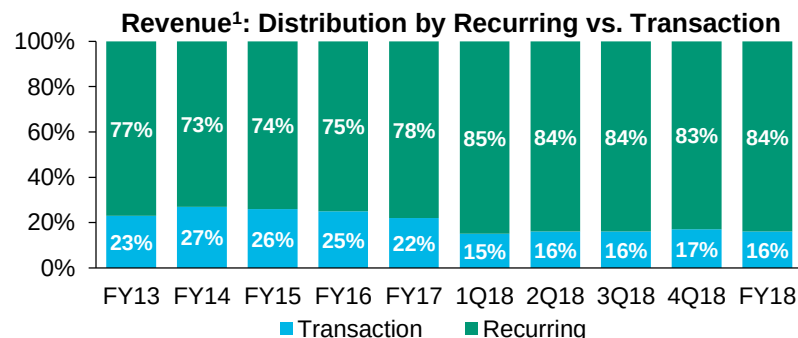
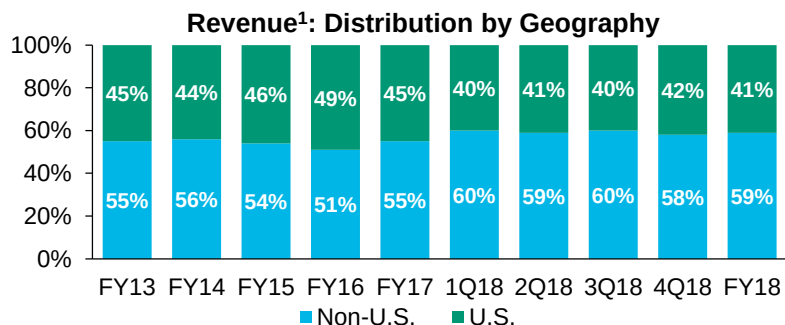
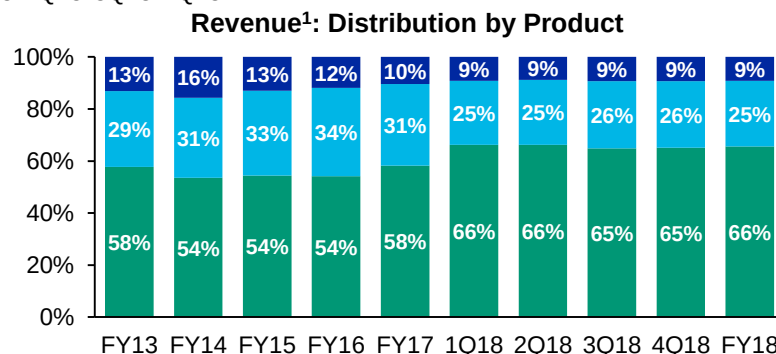
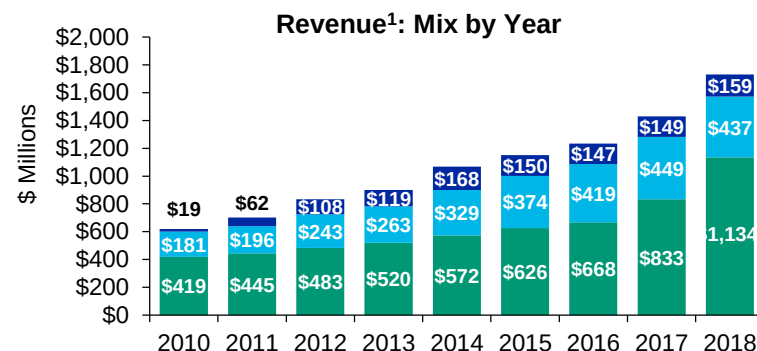
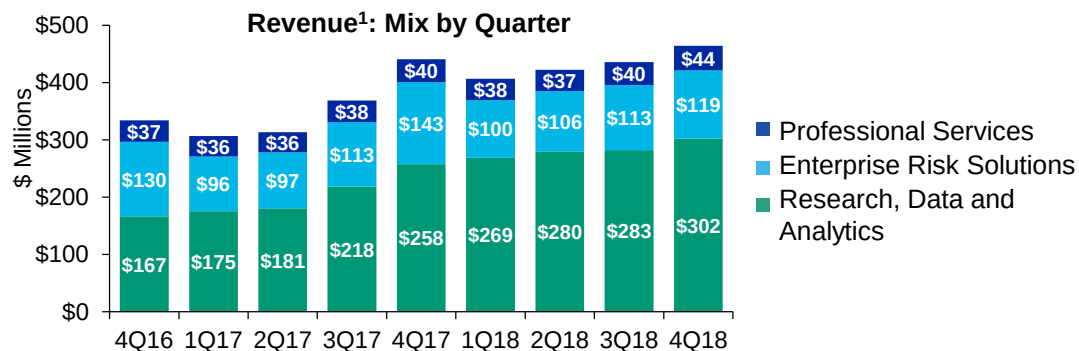


Revenue¹: Distribution by Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

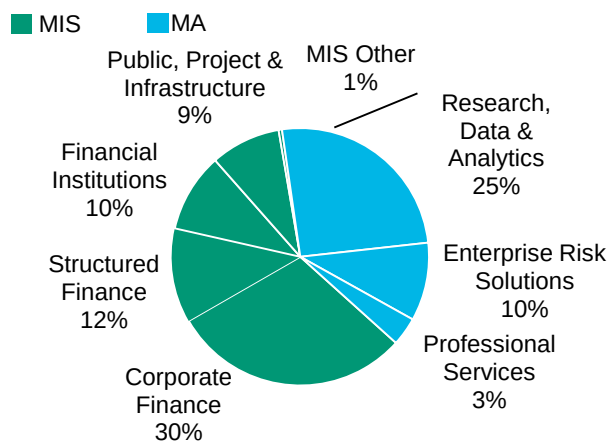
Moody's Analytics: Financial Overview



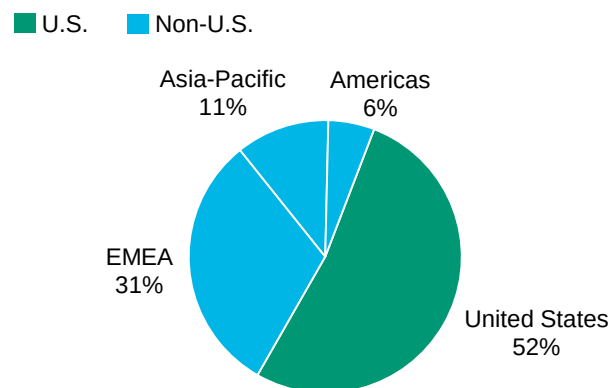
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Research, Data and Analytics includes Bureau van Dijk revenue beginning from the acquisition close date, August 10, 2017.
Percentages have been rounded and may not total to 100%.

Revenue is Diversified by Business, Geography and Type

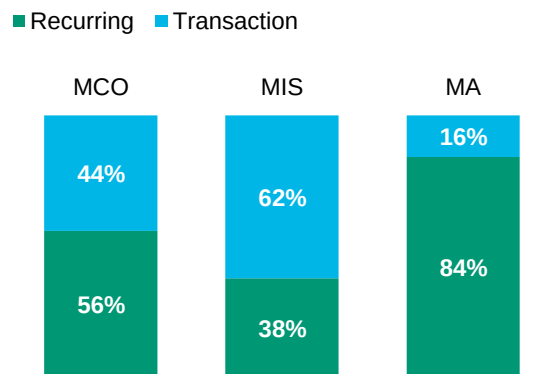
FY18 Revenue by Business



FY18 Revenue by Geography

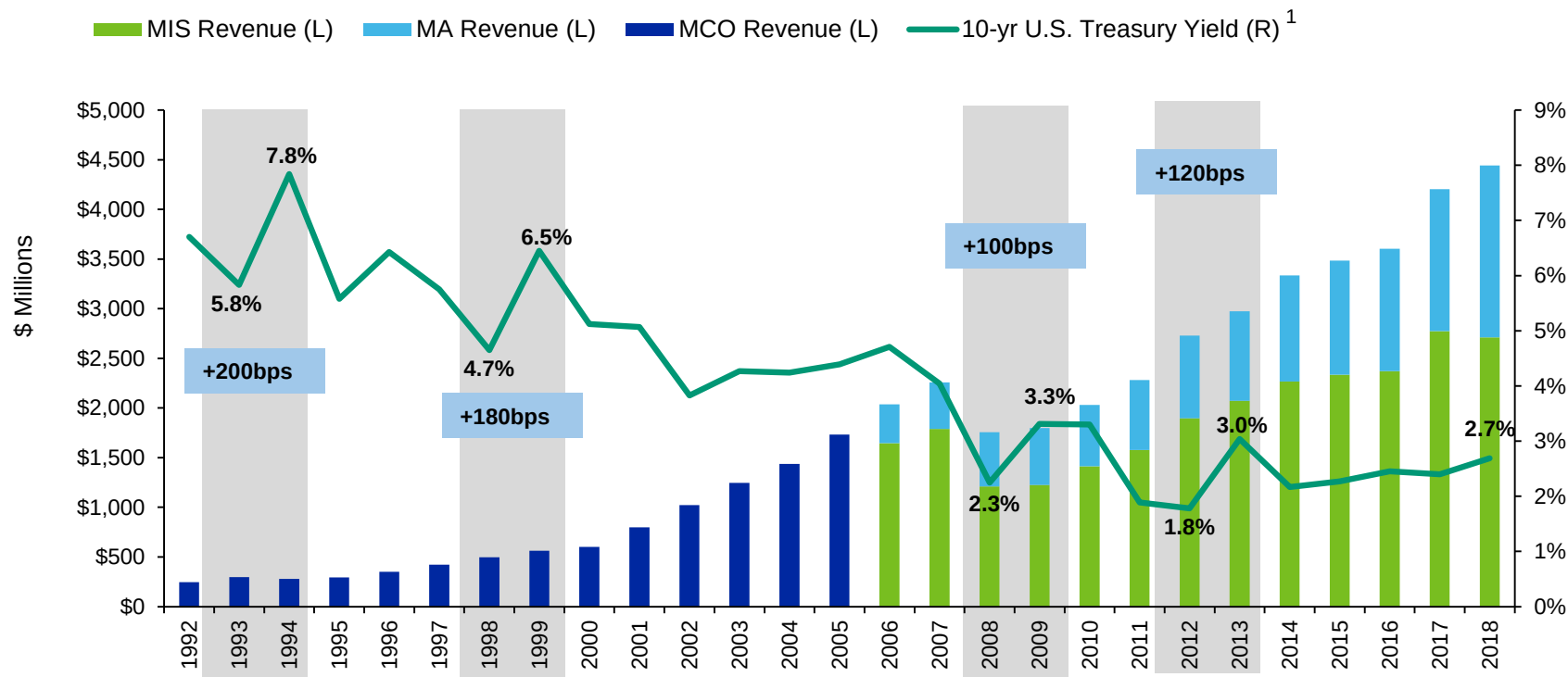


FY18 Revenue by Type



Historically, Moody's Revenue and Interest Rates Have Not Been Strongly Correlated

MCO Revenue and Interest Rates

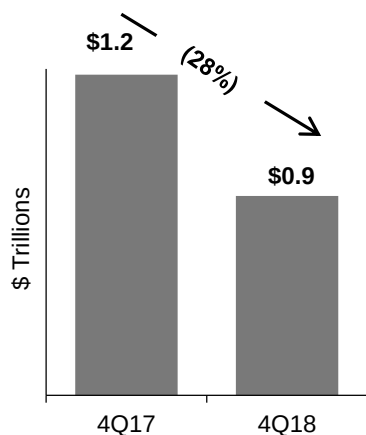


1. 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

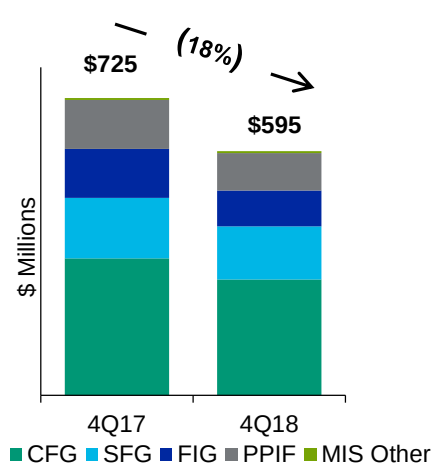
Source: www.treasury.gov.

Strength in Business Model Supports 4Q18 Margin Expansion

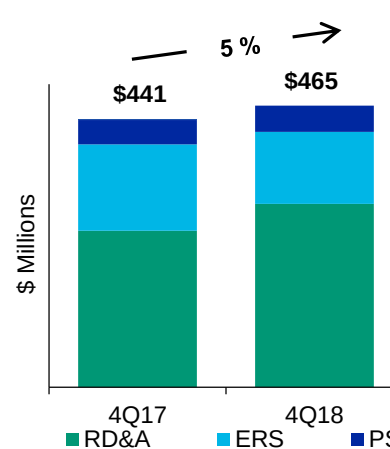
Global Debt Issuance¹



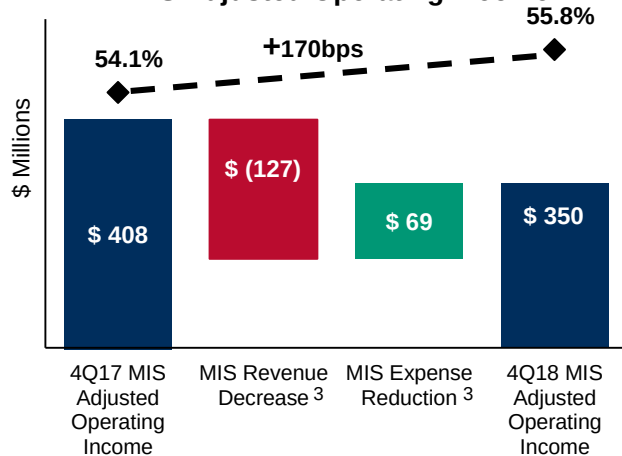
MIS Revenue



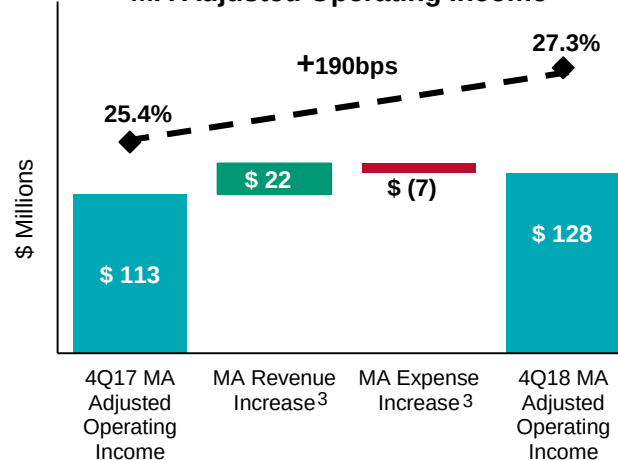
MA Revenue



MIS Adjusted Operating Income²



MA Adjusted Operating Income²

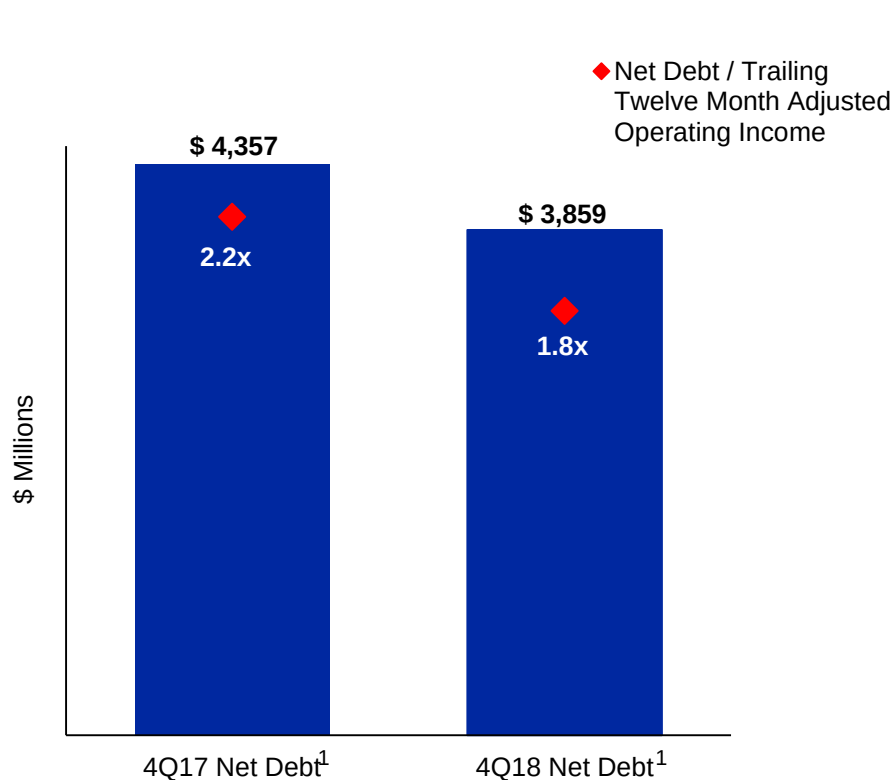


1. Excludes Sovereign.

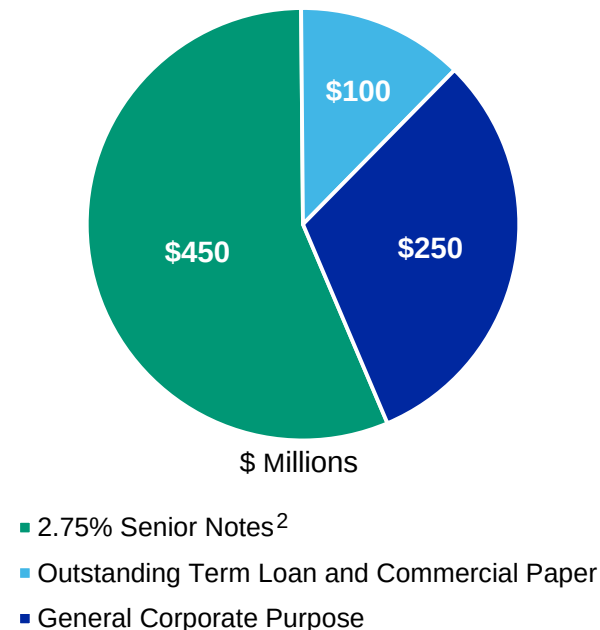
2. These metrics are adjusted measures. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

3. Includes intercompany revenue and expenses.

Reduced Debt Following Bureau Van Dijk Acquisition



Approximate Use of Proceeds from \$800 million 4Q18 Bond Issuance

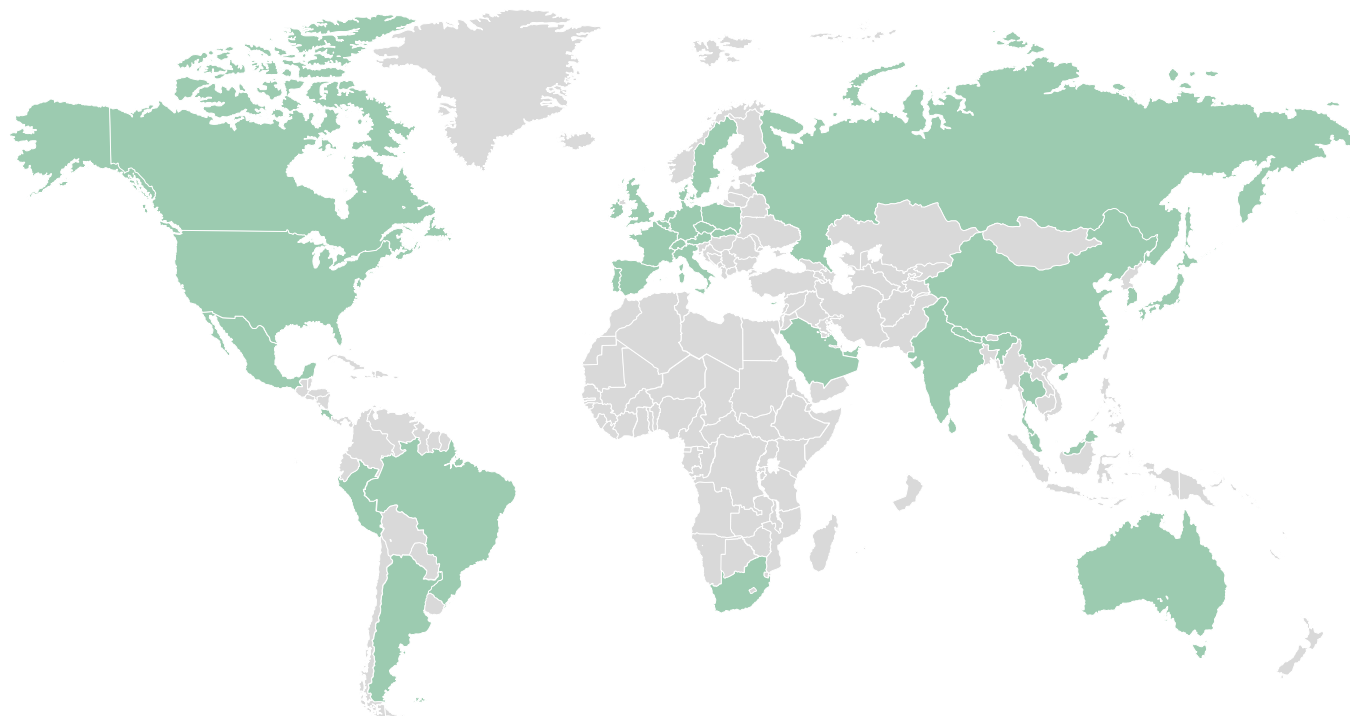


- » Targeting leverage generally in line with a BBB+ rating
- » Currently no significant debt maturities until September 2020

1. Net debt is an adjusted measure. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

2. \$450 million pay down of 2.75% senior notes due July 2019 was completed on January 3, 2019.

Moody's Global Presence



Americas

Argentina
Brazil
Canada
Costa Rica

Mexico
Panama
Peru
United States

Europe, Middle East & Africa

Austria
Belgium
Cyprus
Czech Republic
Denmark
France
Germany
Ireland
Israel
Italy
Mauritius
Netherlands

Poland
Portugal
Russia
Saudi Arabia
Slovakia
South Africa
Spain
Sweden
Switzerland
UAE
United Kingdom

Asia-Pacific

Australia
China
Hong Kong
India
Japan
Korea

Malaysia
Nepal
Singapore
Sri Lanka
Thailand

2018	4,008	+	9,049	=	13,057
	U.S. employees		non-U.S. employees		total employees ¹

2017	3,591	+	8,305	=	11,896
	U.S. employees		non-U.S. employees		total employees ²

1. As of December 31, 2018.

2. As of December 31, 2017.

ESG Drives Sustained Value

Moody's ESG Performance Earned it Inclusion in Goldman Sachs JUST U.S. Large Cap Equity ETF (JUST)¹



ENVIRONMENTAL

- » Measurement of carbon emissions and identification of opportunities to reduce indirect GHG emissions
- » Expansion of ESG products and services
- » CDP participation



GOVERNANCE

- » Professional integrity
- » Systematic risk management
- » Diverse Board membership and skill sets
- » Separate CEO and Chairman positions
- » Active shareholder engagement



SOCIAL

- » Support a diverse and inclusive workplace
- » Active global community and philanthropic involvement
- » Robust data security and privacy practices
- » Fair compensation practices and benefits packages
- » Recognized as top 10 employer by *Working Mother's* list of 100 Best Companies



Executive compensation metrics include²:

- » Moody's Corporation EPS, operating income and EBITDA
 - » MIS operating income and ratings accuracy
 - » MA operating income and sales

1. Companies ranked in the top 50% of JUST Capital's industry rankings are included in the Goldman Sachs JUST U.S. Large Cap Equity ETF (JUST).

2. MCO EBITDA, MIS ratings accuracy and MA sales relate to the Performance Share Plan. MCO EPS, MCO, MIS and MA operating income and MA sales relate to cash bonuses.

CSR: Igniting Global Opportunity

Sharing our Expertise for Greater Social Impact



The Impact Genome Project simplifies social change reporting with its standardized Impact Scorecard.

The Impact Scorecards are single-page reports highlighting program overviews, performance summaries and benchmarks.

We are invested in using data strategically and supporting the Impact Genome Project for the wider nonprofit world, and it is already helping us better understand the impact of our own CSR initiatives.



Moody's Future Solutions™, our pilot pro bono volunteer program, had employees solve pressing challenges for two nonprofits aligned with our Reshape Tomorrow™ initiative.

Accion: we developed a streamlined loan application process allowing them to extend more loans without increasing default and loss rates.

Start Small Think Big: we created a user-friendly financial planning template to provide real-time budget and forecasting information.



Our LGBTA ERG partnered with the Golden Gate Business Association (GGBA) to host an engaging workshop on using CashFlowTool.com.

The tool from our partner Finagraph reads a business's accounting software to forecast trends in cash flow.

It also incorporates our award-winning MARQ™ portal and credit score, helping banks better assess risk when entrepreneurs seek a loan.

[Learn more at moody's.com/csr](http://moody's.com/csr)

Reconciliation of Adjusted Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation¹

<i>(in \$ millions)</i>	2014	2015	2016	2017	2018
Operating Income	\$1,449.8	\$1,490.7	\$650.9	\$1,820.8	\$1,868.2
Operating Margin	43.5%	42.8%	18.1%	43.3%	42.1%
Add Adjustment:					
Depreciation & Amortization	95.6	113.5	126.7	158.3	191.9
Acquisition-Related Expenses	-	-	-	22.5	8.3
Restructuring	-	-	12.0	-	48.7
Settlement Charge	-	-	863.8	-	-
Adjusted Operating Income	<u>\$1,545.4</u>	<u>\$1,604.2</u>	<u>\$1,653.4</u>	<u>\$2,001.6</u>	<u>\$2,117.1</u>
Adjusted Operating Margin	<u>46.3%</u>	<u>46.0%</u>	<u>45.9%</u>	<u>47.6%</u>	<u>47.7%</u>

Moody's Corporation Net Debt Reconciliation

<i>(in \$ millions)</i>	2014	2015	2016	2017	2018
Gross debt	\$2,532.1	\$3,380.6	\$3,363.0	\$5,540.5	\$5,676.0
Less: Cash, cash equivalents and short-term investments	<u>1,677.6</u>	<u>2,232.2</u>	<u>2,224.9</u>	<u>1,183.3</u>	<u>1,817.5</u>
Net debt	\$854.5	\$1,148.4	\$1,138.1	\$4,357.2	\$3,858.5

1. 2014 - 2017 operating and adjusted operating income have been restated to conform to the new presentation of pension accounting.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Operating Margin Guidance Reconciliation

	2019F ¹
Projected Operating Margin - GAAP	Approximately 43%
Projected impact from Depreciation & Amortization	Approximately 4%
Restructuring	Approximately 1%
Projected impact from Acquisition-Related Expenses	Negligible
Projected Adjusted Operating Margin	<u>Approximately 48%</u>

Free Cash Flow Reconciliation²

(in \$ millions)	2014	2015	2016	2017	2018	2019F ¹
Net cash flows from operating activities	\$1,077.3	\$1,198.1	\$1,259.2	\$754.6	\$1,461.1	\$1,700.0 - \$1,800.0
Less: Capital expenditures	74.6	89.0	115.2	90.6	\$90.4	~\$100
Free Cash Flow	\$1002.7	\$1,109.1	\$1,144.0	\$664.0	\$1,370.7	\$1,600.0 to \$1,700.0

1. Guidance as of February 15, 2019.

2. In 2017, the Company adopted ASU 2016-09 "Improvements to Employee Share-Based Payment Accounting" on a retrospective basis. In Q1 2018, the Company adopted ASU No. 2016-15, "Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments (a Consensus of the Emerging Issues Task Force)" on a retrospective basis.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Diluted EPS Reconciliation

	2014	2015	2016	2017	2018	2019F ¹
Diluted EPS - GAAP	\$4.61	\$4.63	\$1.36	\$5.15	\$6.74	\$7.30 - \$7.55
Legacy Tax	(0.03)	(0.03)	-	-	-	-
Impact of Litigation Settlement	-	-	\$3.59	-	-	-
ICRA Gain	(0.37)	-	-	-	-	-
FX Gain due to Subsidiary Liquidation	-	-	(\$0.18)	-	-	-
Restructuring	-	-	\$0.04	-	\$0.19	~\$0.10
CCXI Gain	-	-	-	(\$0.31)	-	-
Acquisition-Related Expenses	-	-	-	\$0.10	\$0.03	~\$0.05
Purchase Price Hedge Gain	-	-	-	(\$0.37)	-	-
Net Acquisition-Related Intangible Amortization Expenses	\$0.10	\$0.11	\$0.13	\$0.23	\$0.40	~\$0.40
Impact of U.S. tax reform	-	-	-	\$1.28	(\$0.30)	-
Net Impact of U.S./European tax change on deferred taxes	-	-	-	(\$0.01)	-	-
Increase to non-U.S. UTPs	-	-	-	-	\$0.33	-
Adjusted Diluted EPS	\$4.31	\$4.71	\$4.94	\$6.07	\$7.39	\$7.85 - \$8.10

1. Guidance as of February 15, 2019.

Note: Table may not sum to total due to rounding.

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